

Ford Motor Company Limited

Annual Report and Financial Statements

For the Year Ended 31 December 2024



Registered number: 235446

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STRATEGIC REPORT

Strategic Report for the year ended 31 December 2024

The directors present their strategic report for the year ended 31 December 2024 for Ford Motor Company Limited ("the Company").

The Company is a private company limited by shares, incorporated and domiciled in the United Kingdom.

Principal activities

The principal activities in which the Company is currently engaged are the manufacture of low emission diesel engines; and the distribution and sale of motor vehicles and automotive components and associated customer after sales support.

Review of UK business

The Company maintained its leadership of UK total vehicle sales in 2024 (per Society of Motor Manufacturers and Traders (SMMT)), including its 59th consecutive year of commercial vehicle (CV) sales leadership. Highlights from the year included:

- Ford #1 total vehicle sales in the UK for 2024.
- Ford #1 in CV ((light commercial vehicle (LCV) & medium commercial vehicle (MCV) combined)) with 31.8% market share.
- Transit Custom was the #1 best-selling CV in the UK and overall UK's #2 best-selling vehicle with 47,326 units sold (up from #3 overall in 2023).
- Ford #5 in passenger vehicle (PV) sales with 5.5% share, and #3 in PV retail sales with 7.0% share.
- Puma was the overall #1 best-selling vehicle in the UK for 2024 with more than 48,339 units sold (2nd year running as overall #1 best-selling vehicle in the UK).
- Ranger was best-selling pick-up truck in UK for 2024, with 19,695 units sold and a 52.4% share in the segment, and #3 best-selling LCV overall after Transit Custom and Transit.

Ford's commitment to its European and UK customers involves investing in and growing its leading commercial vehicle business and providing passenger vehicle customers with a defined portfolio of sports utility vehicles, crossovers, and iconic imported models supported by a robust dealer network.

The Company's partnership with Ford Credit continues to build customer loyalty. As a pioneer in flexible Personal Contract Purchase (PCP) products in the UK, Ford Credit's offerings are chosen by millions of retail customers. Most customers opt for two to three-year contracts at prudent interest rates, which helps maintain residual values and retain equity for future purchases.

Ford is committed to the UK and remains a major employer with significant operations, directly employing more than 5,500 people at year-end 2024. The Ford Britain Dunton Campus in Essex is home to Ford Pro (Ford's European market-leading commercial vehicle business), the headquarters of the Ford of Britain national sales company, Ford Credit Europe (FCE), and is a centre for powertrain engineering.

Ford continues to produce diesel engines at the Dagenham Engine Plant in East London. Transmissions are manufactured at the Halewood plant on Merseyside. Since 2021, Ford has announced a £380m investment to transform Halewood to build electric power units for future Ford all-electric passenger and commercial vehicles in Europe, securing jobs and increasing annual production eventually up to 420,000 units per year. Production of the new electric power units started in Q3 2024, supplying parts for E-Transit and E-Tourneo Custom, E-Transit and E-Tourneo Courier and the new electric Puma Gen-E. Ford also operates a parts distribution centre in Daventry, and its Transport Operations ship vehicles and components across the UK.

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STRATEGIC REPORT *(continued)*

Review of the business *(continued)*

Part of the investment in Ford's electrification plans in the UK included £47m towards specialist labs at the Dunton development HQ. This includes the E:PRIME centre for prototyping and training, supported by the Advanced Propulsion Centre and Propulsion Development Laboratory for advanced testing. The electric power unit, comprising e-drive motor and gearbox, propels an electric vehicle (EV) using battery energy.

For a detailed analysis of the company's financial performance and position as at year end, these can be found in the primary financial statements and accompanying notes in the back half of the annual report.

Key EU and UK activities in 2024:

Ford Pro

- Ford E-Transit and E-Tourneo Custom launched in H1 2024. Productivity is boosted by connected Ford Pro services and innovations.
- Ford E-Transit and E-Tourneo Courier were revealed in January, redesigned with a larger, more flexible cargo area offering 25 per cent more load volume. Capability enhancements include increased payload and space for two Euro pallets
- Ford Pro UK launched a new Home Charging Solution in summer 2024, offering a comprehensive service including training, charger, installation, management software, and a five-year warranty. This enables charge scheduling and remote monitoring, supporting small and medium-sized businesses.

Passenger Vehicles

- Ford started sales of its new electric Explorer in summer 2024, offering over 600 km range (extended range RWD) and fast charging (10-80% in approx. 26 mins for extended range AWD).
- Ford revealed the new electric Capri in July, rewiring the iconic name for the EV generation with athletic performance. It offers over 620 km range, fast charging, and over 570 litres of boot space.
- Ford revealed the new electric Puma Gen-E in December – an all-electric version of the UK's best-selling car. It offers up to 376 km range and fast charging (10-80% in approx. 23 mins on 100 kW DC).

Business/Corporate

- Ford invested further at the Dunton Campus with a new £24 million Propulsion Development Laboratory for EV powertrain development and testing, opened by the transport minister. This brings total Dunton investment to over £70 million in three new facilities over two years.
- Production of the electric power unit began at Halewood in December 2024, coinciding with the launch of the Puma Gen-E it powers. This follows £380m investment (including £30.9m government support) to transform Halewood into an EV component manufacturing plant.
- Ford Motor Company Fund (Ford Philanthropy) announced a £1 million investment to the end of 2025 to support Halewood and the wider Liverpool city region. Funding expands access to essential services and supports education to prepare young people for future work, collaborating with partners like Torrington Drive Community Association (TDCA), Liverpool Life Sciences UTC, and Strawberry Field.

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STRATEGIC REPORT (continued)

- Ford announced further European business restructuring in November 2024, including plans to reduce its European workforce by 4,000 positions (including 2,900 in Germany, 800 in the UK, 300 in other European locations) in consultation with social partners. Ford reiterated its call for industry, governments, unions, and social partners to collaborate on the transition to e-mobility.

Principal risks and uncertainties

Excluding financial risk management (see Directors' Report) the management of the business and the execution of the Company's strategy are subject to a number of other risks. The Company's business is substantially dependent upon the sale of its vehicles in the UK and continental Europe. Sales of vehicles could decline if the Company is unable to respond to economic pressures, or a weakening of the industry. In addition, suppliers in economic distress could constrain the availability of components and materials and therefore adversely affect the production and sale of vehicles. Management has responded to these risks by ensuring that regular reviews are made of the Company's position in the market, and that processes exist to develop good communications with suppliers.

Statement by the Directors in performance of their statutory duties in accordance with section 172 (1) of the Companies Act ("section 172(l) statement")

This section 172(1) statement, which is required under section 414A of the Companies Act 2006, describes how the Board of Directors (hereafter referred to as the Board) have had regard to the matters set out in section 172(1)(a) to (f).

The section 172(1) statement requires the Company to demonstrate how the Directors act in ways they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its stakeholders as a whole. This means that as well as promoting the success of the Company for the benefit of its members, the Directors must have regard, amongst other matters, to the likely consequences of any decisions in the long-term on the interests of Company employees, the need to foster Company business relationships with suppliers, customers and other stakeholders, the impact of the Company's operations on the community and the environment, the desirability of the Company maintaining a reputation for high standards of business conduct, the need to act fairly as between members of the Company and how the Company complies with the requirements of section 172 of the Companies Act 2006.

Corporate Strategy and Purpose

The Company is ultimately owned by Ford Motor Company and regularly engages with its parent company to ensure that the Company plans are fully aligned with the group.

During the reporting period, Section 172 duties as well as other directors' duties and corporate obligations have been at the core of the Board deliberations, decision making, proactive stakeholder engagements and when implementing and complying with the corporate governance arrangements. The Board considered how the Company needs to adapt to realize cost efficiencies with an innovative workforce to support Ford's electric vehicle strategy and in so doing remaining competitive in comparison to its peers; the continuing focus on the impact of climate change on the Company's activities; the need to deliver a best-in-class experience for its existing and new commercial and retail customers; the economic and other market factors that are likely to impact the business performance; the interests of its employees, its suppliers and its customers; and the discharge of the company's legislative obligations including but not limited to Health and Safety.

Stakeholder Engagement

The Company recognises the need to engage with key stakeholders to help inform the Board's strategy and decision-making. The following have been identified as the Company's key stakeholders by the Board in the context of discharging their section 172 duties, namely, its shareholder, retail and commercial customers, the Ford dealership network, employees including trade union representatives, pension trustees, suppliers, and the communities where Ford operates

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STRATEGIC REPORT (continued)

The Board keeps the interests of its stakeholders at the heart of its deliberations and decision-making alongside the need to maintain a reputation for high standards of business conduct. During the reporting period, the Board had oversight for the implementation of key strategic decisions and deliberated matters which impacted various stakeholders including the implementation of the UK business transformation project. The Board carefully considered the consequences of their decisions over the long term and concluded that the actions would be of benefit to the Company and its members. Examples include the health, safety and wellbeing of its staff in the context of its operations and the payment of dividend to its parent undertaking. Examples of how the stakeholders' interests have been considered are included below.

Customers and Suppliers

Consistent with its ultimate parent Ford Motor Company, the Company's goal is that the customer comes first and so they are at the fore when products are developed and manufactured. Furthermore, the Board has ensured that the vehicle delivery services on offer are customer-focused by ensuring that new vehicles are delivered in a timely manner thereby creating loyalty and trust

Ford has a Dealer Council, where senior representatives of Ford, including the Company's Managing Director, meet regularly with representatives of the dealer body to discuss a range of matters affecting the dealer network. These include market conditions, proposed sales and marketing initiatives, customer satisfaction, after sales programmes, and dealer franchising matters. Furthermore, Ford has a Supplier Council, which meets regularly with Ford executives in Purchasing, Product Development and Manufacturing and other functions, as required. These meetings are primarily to discuss different topics impacting the working relationships, and the subsequent process and policy changes that these subject may bring about. Furthermore, the Board via delegation to the Chief Financial Officer also ensures that Ford's payment terms and practices in relation to its suppliers meet or exceed the statutory requirements. The Board also reviewed and approved for publication the a statement of the steps the Ford group has taken to ensure that modern slavery and human trafficking are not taking place in the business or in the company's supply chains.

Also, national level meetings, involving senior management and union officials were also held regularly during the year to discuss overall business performance and related matters.

Employees

The Board believes that its employees are vital to the business success because they are directly responsible for implementing the business's vision, purpose and goals. Therefore, it is vital to protect all employees and workers by providing a safe and healthy work environment. The Company's continuing commitment to maintaining a safe workplace has driven communication and engagement with staff throughout the year including discussions and consultation meetings to understand employees' views and concerns around the business transformation. Health and Safety of employees remains a priority consideration within Ford. The Chief Medical Officer based at Dunton continues to manage Ford's site occupational health services in partnership with an external medical specialist provider. Together, they deliver a professional service designed to monitor the health of employees to ensure that they are operating in a healthy working environment with mental health and wellbeing continuing to be provided at all sites. The Company continues to encourage its relevant employees to adapt a healthy balance of hybrid working which fosters team collaboration and efficiency. In addition, the Company continues to offer its employees a range of flexible working options and employee friendly policies including supporting part-time working and job sharing.

During the reporting year, the Board ensured that employees received regular communications and, where applicable, were consulted with either directly or via representatives on the relevant proposals. There were also regular meetings held between management and employee representatives at all Ford locations to review operational performance and matters of local importance.

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STRATEGIC REPORT (continued)

Employees(continued)

Ford is dedicated to supporting a diverse, equitable, and inclusive workplace where each person is valued. As we move forward, our intention is to harness the power of a talented and diverse team to help fuel our transformation and further empower Ford to better serve the diverse customers and communities where we live and work. We respect the different cultures and beliefs of our team members, customers, and the communities we serve. We are committed to speaking up and preventing retaliation. We encourage our employees to speak up if something doesn't seem right or might violate our policies, our Code of Conduct, or applicable laws and/or regulatory requirements. Ford will support and protect anyone who raises a good-faith concern and strictly prohibits retaliation against anyone for reporting a suspected violation or for assisting with an investigation. Ford maintains accessible frameworks and policies for all employees and workers, for example addressing anti-bribery, corruption, and whistleblowing concerns.

Ford ensures that all its employees and workers are adequately trained in relation to their roles and responsibilities and encourages everyone to request any additional training or professional development which may be required. During the reporting period, Ford continued to encourage its employees to pursue recognized qualifications through apprenticeship and degree programs in data science. Employees also have 24/7 access to an online learning platform where they can access webinars, courses, tutorials, and other high-quality learning resources. Furthermore, Ford maintains a robust process for assessing the suitability of candidates for senior management and board positions, ensuring that the interests of all stakeholders are carefully considered.

Reputation, Environmental Considerations, and Community

The Board is committed to complying with all applicable regulations and legislations and requires every employee to certify to the Ford Corporate Code of Conduct. A strong compliance culture is encouraged.

Following an on-site survey for a proposed new construction project in Q3 2024, small pieces of cement containing a low percentage of chrysotile (white) asbestos were found in the Daventry parts distribution centre. As a consequence, some work activities at the site were paused for period of time whilst specialist cleaning and analysis were undertaken. Following a satisfactory health and safety assessment, it was then determined that some activities at the Daventry parts distribution centre could resume whilst the specialist cleaning continued.

In response to the existing and planned legislation in relation to disclosures on climate change-related risks, the Board has kept under review the development of the Company's approach to addressing climate-related risks and opportunities. Ford has well established policies for safeguarding and improving the social and environmental impact of its operations. For example, all Ford's manufacturing locations are ISO14001 certified and, as part of a joint initiative agreed with its European Works Council, it operates to agreed social rights and social responsibility principles. Ford encourages its suppliers both to work to achieve ISO14001 certification and to operate their own plants to a standard consistent with our principles. During the reporting year, the Board continued to monitor the development of an Environment, Social and Governance strategy for the Company and its operations.

Ford continues to encourage engagement with local community initiatives, through employee participation in charitable activities.

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Non-financial and sustainability information statement

Task Force on Climate Related Disclosures

This report is based on the UK Companies (Strategic Report) (Climate-related Financial Disclosure) Regulations 2022 fulfilling corporate UK reporting requirements for Ford Motor Company Limited (FMCL or "the Company"). It is in line with Ford Motor Company's global ("Ford") 2025 Integrated Sustainability and Financial Report:

Transition Plan, Metrics & Targets

Transition Plan Overview

Ford's Aspirations

Globally Ford aims to reach carbon neutrality no later than 2050. Ford is making progress on an accelerated path to decarbonize the business in Europe, which includes our UK operations. Our focus is on addressing our largest source of emissions by electrifying our full line up of vehicles.

As we work toward carbon neutrality, we are investing in our business now to transform our value chain by reducing Scope 1, 2, and 3 emissions in line with science and as defined by the GHG Protocol. Currently, our global focus is on three areas that account for approximately 95% of our CO₂e emissions — our vehicles, operations, and supply chain. An overview of some key investments supporting Ford's plan implementation are provided in the table Transition Plan Key Investments. FMCL benefits from these investments, directly or indirectly.

Transition Plan Key Investments

Investment	Details		Comment
Savings from investments in low carbon alternatives	Each year Ford pursues various energy savings actions to improve its operating efficiency and achieve environmental objectives. Projects tend to be related to LED lighting, steam elimination and manufacturing process optimization.		Investments made in global manufacturing locations to improve energy and process efficiency while generating savings sufficient to self-fund the capital investments
Expenditures for engineering and research and development	Year	Expenses (in Billions)	Engineering, research, and development expenses are primarily reported in cost of sales and consist of salaries, materials, and associated costs.
	2022	\$7.8	
	2023	\$8.2	
	2024	\$8.0	
Investments in our low carbon future	- In 2024, our total electric vehicle capital spending was \$4.7 billion, reflecting our continued commitment to electric vehicle manufacturing, including: - Cologne Electric Vehicle Center producing the new Ford Explorer, our first European-built all-electric passenger car, and the new all-electric Ford Capri. - Halewood, our first in-house electric vehicle component manufacturing site in Europe, producing electric drive units that will power electric vehicles from Ford. - We continue to invest in electrified and hybrid powertrains to help reduce emissions over time. Last year, more customers chose an electrified Ford vehicle than ever before.		

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Metrics & Targets Overview

Ford's carbon neutrality related metrics help to ensure that Ford is decarbonizing its business in a timely manner and managing its climate risks and opportunities. In this section we provide an overview of Ford's global climate-related metrics that also help drive the business in the UK as both FMCL and Ford global are focused primarily on activities related to vehicle manufacturing.

Our global greenhouse gas (GHG) reduction targets include our previously reported SBTi accredited 2035 targets, their corresponding absolute reference targets for 2030 as required by ESRS, our global manufacturing target and our new publicly disclosed supply chain target:

- Reduce vehicle use GHG emissions from sold products
 - 2035 SBTi target: 50% per vehicle km vs. 2019
 - 2030 reference target: 28% vs. 2019
- Reduce global operations GHG emissions
 - 2035 SBTi target: 76% vs. 2017
 - 2030 reference target: 55% vs. 2017
- Reduce global manufacturing GHG emissions
 - 2028 target: 46% vs. 2017
- Reduce supply chain GHG emissions
 - 2030 target: 25% vs. 2023

The clarifications below for vehicle use and operations targets apply both to the 2035 SBTi target and their corresponding 2030 reference target where applicable.

Our vehicle use target is on a well-below 2°C path, reflecting the current softening of the electric vehicle market and expected short-term challenges. The vehicle use target goes beyond tailpipe emissions and includes vehicle emissions from an energy-cycle (fuel and electricity) perspective (well-to-wheels (WTW)). This includes energy production and consumption during vehicle use.

Our global operations target includes Scope 1 and 2 GHG emissions from our consolidated manufacturing and non-manufacturing facilities along with our unconsolidated investee manufacturing facilities, and is aligned to a 1.5°C path. Scope 2 emissions are calculated using a market-based approach. Our supporting global manufacturing target follows the same methodology with the exception of limiting the scoping to global manufacturing facilities.

Our supply chain target is 25% reduction over seven years, which is 3.6% per year linearly and aligned to a well-below 2°C pathway. The scope is global and covers supply chain emissions related to vehicle production and centrally controlled non-production. Certain service components procured from non-Ford suppliers and vehicle components sourced through other OEMs have been excluded from this estimate.

Achieving our targets will depend on external factors such as policies, infrastructure development, and market readiness.

Additionally we assess fleet average CO₂ tailpipe emissions (grams per mile or km) on a regional regulatory basis and on a voluntary basis carbon-free electricity (%) for our manufacturing facilities globally.

Vehicle Use

Targets

Ford has set a science-based intensity target, approved by SBTi, to reduce vehicle use emissions by 50% per vehicle km by 2035, relative to a 2019 base year.

Our absolute 2030 reference target is a 28% reduction relative to the same 2019 base year.

Decarbonization Levers

The use-phase CO₂ emissions on a WTW basis depend on vehicle design, the energy source, and how the vehicles are used by our customers. See an overview in the table, “A Portfolio Approach to Decarbonizing Vehicles”.

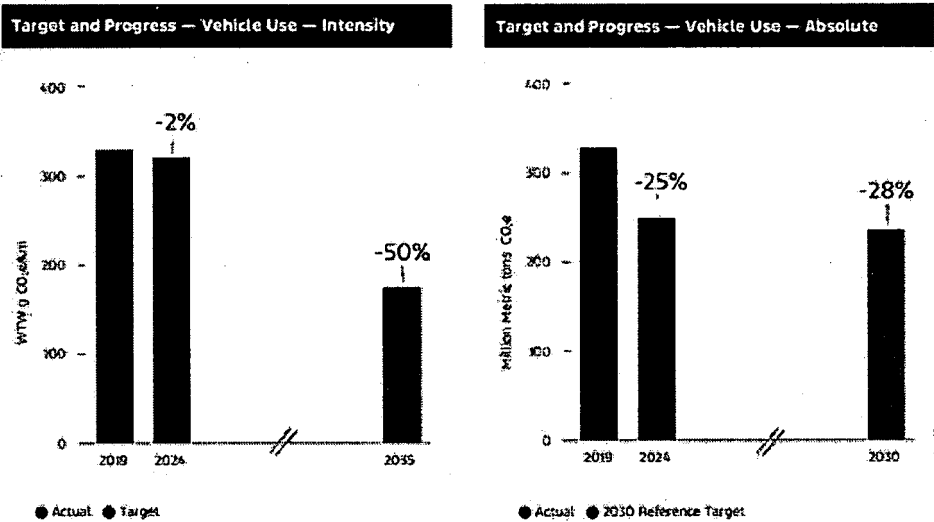
A Portfolio Approach to Decarbonizing Vehicles

Vehicle Design	Lower-carbon Energy Options	Support Customers
• Electric vehicles • Fuel cell vehicles • Plug-in hybrid vehicles • Hybrid vehicles • Aerodynamic improvements • Weight reductions	• Electricity • Hydrogen • Biofuels • Carbon-neutral e-fuels • Compressed natural gas (CNG) • Liquefied petroleum gas (LPG)	• Providing options for different vehicles and fuels, and how those vehicles will be maintained • Addressing key adoption enablers, e.g., affordability and Electric Vehicle charging deployment with renewable energy • Promoting “eco-driving” through training, information, and in-vehicle technology

Performance

The average GHG intensity of the vehicles we sold in 2024 is approximately 2% lower than for the vehicles we sold in 2019, see graph, Target and Progress — Vehicle Use — Intensity.

While this progress is lower than initially planned, from an absolute perspective, our data shows a higher reduction than initially expected with a 25% reduction compared to our base year. See graph Target and Progress — Vehicle Use — Absolute.



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In Europe, we have an electrified offering for almost all our European vehicle lines (as of the end of 2024):

- Commercial electric vehicles: E-Transit, E-Transit Custom and E-Transit Courier
- Passenger electric vehicles: Explorer, Capri, Mustang Mach-E, E-Tourneo Courier and E-Tourneo Custom
- Plug-in Hybrids: Kuga, Transit Custom, Tourneo Custom, Transit Connect, Tourneo Connect and Ford Ranger – the bestselling pickup truck in Europe.

Global Operations GHG Reductions

Target — Global Operations GHG Reductions

Ford has set a science-based target, approved by SBTi, to reduce global operations emissions by 76% by 2035, relative to a 2017 baseline.

Target — Global Manufacturing GHG Reductions

Supporting our overall operations target, Ford has set an absolute science-based target to reduce our global manufacturing emissions by 46% by 2028, relative to a 2017 baseline.

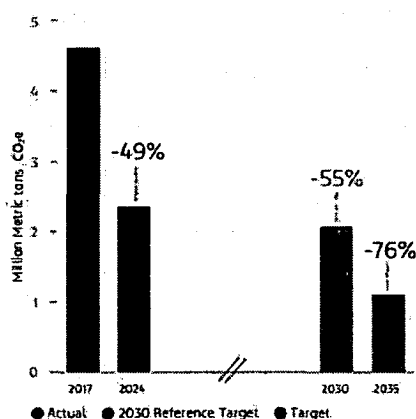
Targets — Manufacturing Carbon-free Electricity

In pursuit of our aspirations to use 100% carbon-free electricity in all manufacturing facilities globally by 2035, we have established a target to reach 77% by 2028.

Decarbonization Levers and Investments

To achieve the operational emissions reduction goals and realize Ford's carbon-neutral future, Ford is using energy more efficiently, reducing GHG emissions and increasing the use of carbon-free energy.

Target and Progress — Operations



Target Performance

By securing a carbon-free electricity supply and making our facilities even more efficient, we have achieved a 49%

reduction in emissions. Our progress is on track, being close to two-thirds of the way to our 2035 76% reduction target. Contributing to this progress, we achieved a reduction of 51% in our global manufacturing GHG emissions, in line with expected progress.

Increasing the percentage of carbon-free electricity consumed in Ford's global manufacturing plants, a key enabler to decarbonizing our operations, is on track. This includes carbon-free electricity that was generated on-site, as well as carbon-free electricity purchased in the form of Energy Attribute Certificates or similar market mechanisms. The status in 2024 for our global manufacturing plants was 71.5% carbon-free electricity.

In the UK, we have expanded our onsite renewable energy projects this year through working with our local utility to install solar panels at Daventry Parts Distribution Centre, and with our local supplier to install ground-mounted solar panels at our Dunton Campus.

For more details regarding FMCL's Scope 1 and 2 emissions see the section Streamlined Energy and Carbon Reporting on pages 39 and 40.

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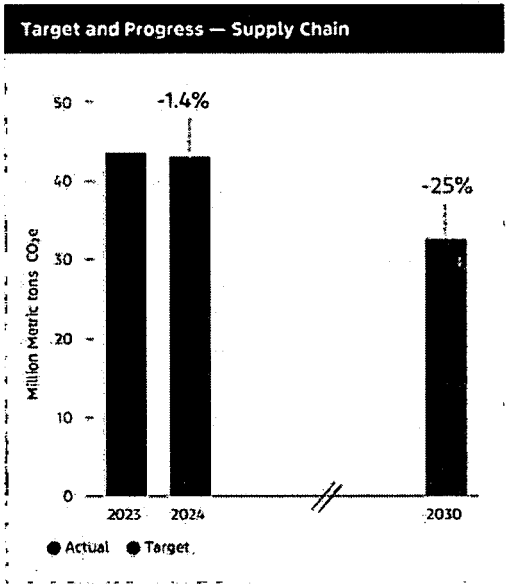
Supply Chain - Purchased Goods and Services

Targets

Ford has set a science-based target to reduce global supply chain emissions, including FMCL Suppliers, 25% by 2030, relative to a 2023 baseline.

Decarbonization Levers and Investments

We have three main decarbonization levers: we are increasing supplier engagement across the supply chain, including FMCL suppliers, by leveraging the requirements of our [Supplier Code of Conduct](#) and engaging in initiatives such as Ford's best practice climate programs with Manufacture 2030 (global) and the new Transform: Auto renewable electricity program (North America). We are also working on decarbonizing key components and materials such as batteries, steel, and aluminium.



Target Performance

In 2024 we achieved 1.4% reduction. This is below our desired 3.6% linear annual reduction for our pathway. We do, however, expect that progress will take time and not be linear as technologies come online and the grid decarbonizes.

We have seen improvements in supplier engagement in 2024, particularly for M2030 responses. It is also encouraging to see a number of our large Tier 1 suppliers engaging on the M2030 platform and requiring their suppliers to participate, which is an important step in tackling our Tier 2 emissions.

Integrating carbon neutrality into our sourcing decisions was a key step in changing how we do business. This, along with our continued engagement with suppliers to understand their commitments, is important to help support future progress.

Ford has signed non-binding memorandums of understanding (MOUs) with strategic steel suppliers, signalling the need for near-zero emissions steel. In 2024 we signed two new MOUs in Europe for a total of five and met with strategic suppliers to understand the transformation, including the significant increase in demand for carbon-free electricity and hydrogen.

We are also making progress on improving data availability and quality with initiatives such as Catena-X. For the first time in 2024, OEMs, Tier-1, and Tier-2 suppliers exchanged product carbon footprint (PCF) primary data across tiers — while using the IT solution of their choice. The implementation of this Catena-X PCF use case increases CO₂e data accuracy at a part level.

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Governance and Risk Management

Climate Governance
Board Oversight

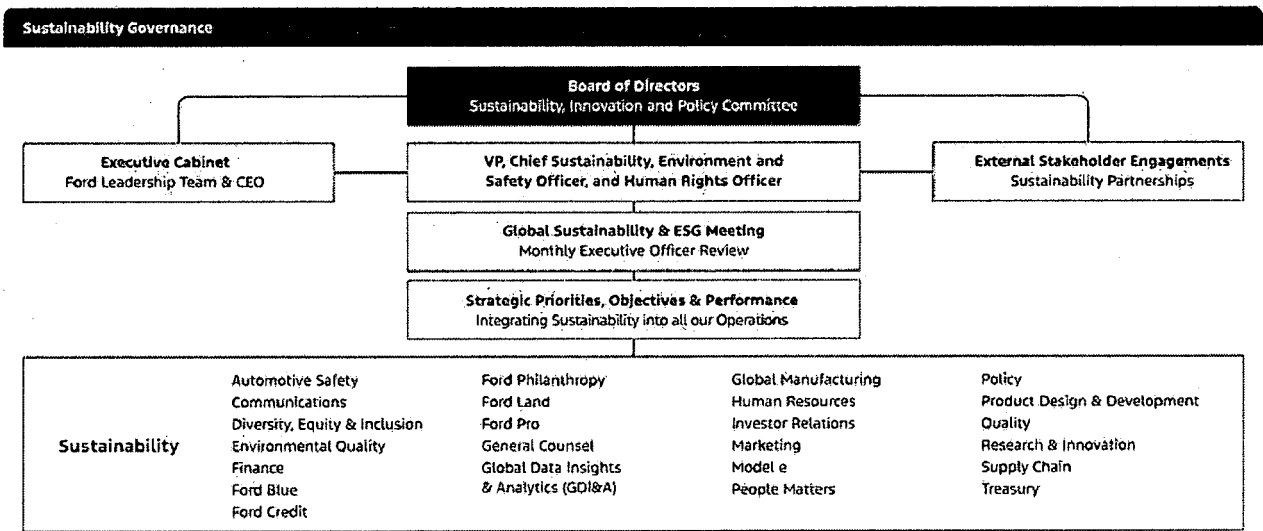
We employ a variety of governance systems and processes to manage different aspects of sustainability across our business, including all wholly owned subsidiaries.

The global Sustainability, Innovation and Policy Committee reviews and advises on Ford's pursuit of innovative policies and technologies that promote product safety, improve environmental and social sustainability, and seek to enrich our customers' experiences, increase shareholder value, and lead to a better world.

The Committee oversees the climate transition plan, reviews Ford's Integrated Sustainability and Financial Report as well as any company initiatives related to sustainability and innovation. It assesses annually the adequacy of the Sustainability, Innovation and Policy Committee Charter, and reports to the Board of Directors about these matters.

Climate related topics are also reported out to the Board of Directors for FMCL. This board also reviews the TCFD content for FMCL's annual report.

The global Audit Committee assists the Board in overseeing compliance and reporting risk, including reviewing risks identified in the Ford Enterprise Risk Management process, which could include climate-related risks.



Management's Role

Our Vice President, Chief Sustainability, Environment and Safety Officer, called "Chief Sustainability Officer" (CSO), and his team are responsible for delivering our sustainability aspirational goals and strategies, including achieving carbon neutrality no later than 2050 globally. The leaders of the Global Sustainability & ESG Meeting approve our carbon neutrality strategy and monitor progress on reducing GHGs by tracking metrics for our vehicles, supply chain, and operations.

Our European lead for Environmental & Safety Compliance based in the UK is among the leaders of this meeting ensuring that regional (including the UK) perspective are well reflected. This role also leads the cross functional European Carbon Neutrality Team and report out to the Board of Directors of Ford Motor Company Limited on a regular basis.

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Risk Management and Internal Controls

The oversight responsibility of the Board and its committees is supported by company management and the risk management processes covering our operations in the UK. Ford has risk management processes relating specifically to compliance, reporting, operating, and strategic risks. These include:

- Compliance Risk encompasses matters such as legal and regulatory compliance (for example, Foreign Corrupt Practices Act, environmental, Occupational Safety and Health Administration, etc.)
- Reporting Risk covers Sarbanes-Oxley compliance, compliance with U.S. SEC and New York Stock Exchange (NYSE) rules and regulations, disclosure controls and procedures, and accounting compliance
- Operating Risk addresses the numerous matters related to the operation of a complex company such as Ford (for example, quality, supply chain, sales and service, financing and liquidity, product development and engineering, labor, etc.)
- Strategic Risk encompasses somewhat broader and longer-term matters, including, but not limited to, technology development, environmental and social sustainability, capital allocation, management development, retention and compensation, competitive developments, and geopolitical developments

We believe that key success factors in risk management at Ford include a strong risk analysis tone set by the Board and senior management, which is shown through their commitment to effective top-down and bottom-up communication (including communication between senior management and the Board and Committees), and active cross-functional participation among the Business Segments and Skill Teams.

We have institutionalized a Forecast, Controls and Risk Review, and Special Attention Review process where the senior management of the Company reviews the status of the business, the risks, and opportunities presented to the business (in the areas of compliance, reporting, operating, and strategic risks), and develops specific plans to address those risks and opportunities.

The Enterprise Risk Management process adopted by the Company identifies the top critical enterprise risks through engagement with senior management and the Board of Directors. Once identified, the top risks are validated and assigned risk owners who are responsible for overseeing risk assessment, develop and implement mitigation plans, and provide updates. The Enterprise Risk Management process also engages Business Segments and Skill Teams to determine which of the enterprise risks are most relevant to their specific objectives and identify any additional risks that may materially affect the enterprise.

The Audit Committee annually reviews the process to update the list of critical risks and monitor risk movement and emerging trends, and the Enterprise Risk Management team also benchmarks the annual risk assessment with outside sources to ensure Ford's assessment and approach is up to date with external risk developments and best practices.

In 2024 the Enterprise Risk Management process occurred independently from the DMA process done in alignment with ESRS requirements. The results of the Enterprise Risk Management process fed into the identification of potential impacts, risks, and opportunities for consideration in the DMA, the Enterprise Risk Management team was included as internal stakeholders in the DMA process.

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Management Processes

Board Committees

Sustainability, Innovation and Policy Committee

- Meets at least three times a year
- Primary responsibility for assessing Ford's progress on strategic economic, product safety, and environmental and social issues, as well as the degree to which sustainability principles have been integrated into the various skill teams
- Reviews and advises on Ford's pursuit of innovative policies and technologies that promote product safety, improve environmental and social sustainability, and seek to enrich our customers' experiences, increase shareholder value, and lead to a better world
- Reviews the Integrated Sustainability and Financial Report Summary as well as any Ford initiatives related to sustainability and innovation

Read the Charter of the Sustainability, Innovation and Policy Committee

Other Board committees: Audit; Compensation, Talent and Culture; Nominating and Governance; and Finance

Executive Management

Vice President, Chief Sustainability, Environment and Safety Officer

- Primary responsibility for sustainability matters
- Oversees the Sustainability and Vehicle Environmental Matters group, the Environmental Quality Office, the Vehicle Homologation and Compliance group, and the Automotive Safety Office
- Leads a multi-disciplinary executive-level team that oversees actions in response to our sustainability strategies and integration and issues related to our We Are Committed to Protecting Human Rights and the Environment policy
- Human Rights Policy Officer

Other executive and group vice presidents across our functional areas also have responsibility for sustainability-related issues. These include our Chief People and Employee Experience Officer and our Chief Diversity Officer

Function Areas

Sustainability and Vehicle Environmental Matters

- Coordinates our company-wide sustainability strategy and activities
- Leads our sustainability reporting and stakeholder engagement
- Collaborates with other functional areas and skill teams to integrate sustainability throughout Ford

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Oversight of Risk Management

	Compliance and Reporting	Operating and Strategic
Ford Board Oversight	Audit Committee	Sustainability, Innovation and Policy Committee Compensation, Talent and Culture Committee Finance Committee Audit Committee
Ford Management Day to Day	Compliance Reviews SEC, NYSE, and Sarbanes-Oxley Compliance Internal Controls Disclosure Committee	Business Segments and Skill Team Governance Forums Forecast, Controls, and Risk Review Special Attention Review Industrial Platform, Software and Tech Platform, Global Product and Services, Strategy, Business Ops Review, and People Forums

Board Oversight of Risk

The full global Board of Directors has overall responsibility for the oversight of risk management at Ford and oversees operating risk management with reviews at each of its Board meetings. The Board, the Sustainability, Innovation and Policy Committee, the Compensation, Talent and Culture Committee, the Finance Committee, and the Audit Committee all play a role in overseeing operating and strategic risk management.

The Sustainability, Innovation and Policy Committee assists the Board of Directors in overseeing environmental and social sustainability risks.

The specific responsibilities of each committee are set forth in their charters, which are available on our [corporate website](#).

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Double Materiality Assessment

Introduction to the Double Materiality Assessment

We have conducted a Double Materiality Assessment (DMA) to determine the material matters to be reported against aligned with the EU Corporate Sustainability Reporting Directive (CSRD) and related European Sustainability Reporting Standards (ESRS) disclosure requirements. This assessment covers Ford Motor Company and all wholly owned subsidiaries.

This was Ford's first year completing a full DMA, and as such the results cannot be compared to materiality assessments completed in prior years using other methodologies.

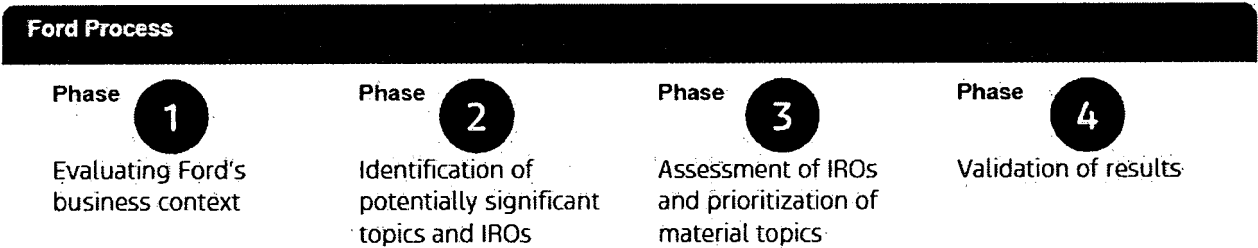
Double materiality consists of two dimensions:

Impact materiality: Identifies material issues from the perspective of the impact Ford has or could have on the environment and society.

Financial materiality: Identifies risks and opportunities that materially influence or may be expected to materially influence Ford's financial position and performance.

Our methodology assessed the significance of potential material topics at an impact, risk and opportunity (IRO) level, scoring each IRO individually to inform the overall topic-level score. An ESG topic can be material from an impact materiality perspective, a financial materiality perspective, or both.

Ford's DMA process consists of four main phases as outlined below:



Ford Process

1. Evaluating Ford's Business Context

This assessment reviewed sustainability topics in the context of Ford's own activities, business relationships, and key activities along the value chain. We defined our upstream and downstream value chain for consideration throughout the assessment. We also mapped our key stakeholder groups by considering the stakeholders potentially affected along our value chain and the users of our sustainability statements.

2. Identification of Potentially Significant IROs

We created a long list of sustainability matters and related IROs, comparing these with the full list of ESRS topics, sub-topics, and sub-sub topics for completeness. Some IROs are entity-specific and not aligned with specific ESRS topics.

Consistent with ESRS requirements, we focused on areas within our operations and value chain where IROs were deemed likely to arise based on the nature of our activities, business relationships, geographies, and other relevant factors.

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When identifying IROs related to business conduct matters, we considered our global transactions with suppliers, regulators, and employees, with additional focus around activities related to anti-corruption laws, political engagements, conflict minerals, supplier relationship and protection of whistleblowers.

The identification of IRO's was performed through desk research, using internal documentation, external reports and frameworks, as well as stakeholder insights and expert judgement.

Stakeholder Engagement

We engaged with internal and external stakeholders and Ford subject matter experts to support us in both identifying relevant IROs and determining impact and financial materiality. Internal subject matter experts were engaged through topic-specific focus groups. A global survey was also available to Ford employees to understand their perspectives as an affected stakeholder. External stakeholders, including key suppliers, non-governmental organizations, investors, and Ford dealers, were engaged through online surveys.

While we did not directly consult with all affected stakeholder groups (most notably local communities), we considered proxy insights from expert advocacy organizations and our community engagement colleagues. Their ongoing engagement with Ford communities provides insight into the interests and views of these stakeholders.

Similarly, we did not screen all individual site locations for potential or actual impacts, but relied on the expertise of Ford employees and subject matter experts that engage with global site locations on environmental and social issues.

3. Assess Impacts, Risks, and Opportunities

To determine materiality, each IRO was assessed and scored using a defined and consistent methodology. Potential IROs were scored according to three time horizons: short-term (covering the reporting year), medium-term (up to five years), and long-term (more than five years).

The assessment incorporated the inherent design and attributes of our operations, including existing actions, when evaluating the materiality of impacts, risks and opportunities.

Impacts: We scored the severity of impacts using three parameters:

- Scale assesses the impact's extent on the environment or people
- Scope evaluates the impact's reach, such as the percentage of sites or employees affected
- Irremediable character assesses the difficulty of reversing the damage, considering factors such as cost and time

For negative actual impacts, each of the three dimensions were scored and weighted equally for severity. Positive actual impacts were scored by scale and scope. For potential impacts, an additional parameter of likelihood was also scored.

Whenever a potential negative human rights impact was identified, we carefully considered the ESRS guidance for the severity of the impact to take precedence over its likelihood. For impacts scoring as material or close to the materiality threshold, we followed ESRS guidance and prioritized severity over likelihood to inform the final score.

Financial Risks and Opportunities: Potential risks and opportunities were assessed and scored using the below parameters:

- Magnitude of financial effects, including qualitative items beyond those recognized in financial statements, such as operational, human capital, reputation and market position that could affect our business.
- Likelihood of the occurrence

The outcomes of the IRO assessment were consolidated into topic clusters, forming Ford's DMA and determining the material topics to form the basis of our ESRS disclosure.

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Determination of Material Topics

Ford defined a materiality threshold for the purpose of prioritizing material IROs from those that are non-material. IROs that exceeded this threshold for one of the two materiality perspectives were considered material. In consultation with Ford's global sustainability, risk, finance, and internal control colleagues, the threshold was set at "significant" and above. The thresholds set as part of the DMA are not static, and may be subject to periodic review and adjustment.

4. Validation

To validate the outcome of DMA, we engaged with key internal subject matter experts, asking them to validate our identified material IROs. They reviewed our approach and assessed the scoring associated with both impact and financial materiality.

Results Review

All IROs, their scoring, and the rationale for the scoring was reviewed with subject matter experts at Ford. The final list of material IROs was reviewed by the CSO and Chief Accounting Officer before being shared with the Audit Committee and Sustainability, Innovation and Policy Committee of the Board.

Our Material Topics

Our material topics are presented below:

Topic
Climate Change
Personal Safety — Consumers and End Users
Vehicle/Product Development
Child & Forced Labor — Workers in the Value Chain
Pollution
Water and Marine Resources
Resource Use and Circular Economy
Secure Employment — Own Workforce
Working Conditions & Labor Rights — Workers in the Value Chain
Affected Communities
Working Conditions & Labor Rights — Own Workforce
Diversity — Own Workforce

Climate Risks and Opportunities

Introduction

Climate-related risks are divided into two categories:

- Transition risks — those that arise from actions associated with the transition to a low-carbon economy, including the introduction of new climate policies or low-carbon technologies
- Physical risks — those that arise from the acute and chronic physical impacts of climate change

We identified and assessed climate-related risks and opportunities along our upstream and downstream value chain based on TCFD guidelines and well-established, state-of-the-art science scenarios.

Three scenarios were analyzed to identify transition and physical risks: The IEA Net Zero Emissions (NZE) by 2050 Scenario, the IEA Stated Policies Scenario (STEPS), and the Intergovernmental Panel of Climate Change (IPCC) Representative Concentration Pathway 8.5 (RCP8.5). NZE helps expose transition risks, and while physical risks are covered by all scenarios, the RCP8.5 scenario represents the most severe physical risks in terms of timing and magnitude.

The range provided by these scenarios identifies likely risks and opportunities, as they cover a wide gamut of societal action, addressing future uncertainties related to policy, macroeconomic, energy systems, or technological developments. These scenarios are also compatible with the financial statement summaries on key climate risks including GHG and fuel economy regulations, carbon neutrality commitments, and disruptions to our operations and our supply chain.

We evaluated the exposure and sensitivity of assets and business activities to identified hazards and transition events over short- (<5 years), medium- (5-10 years), and long-term (>10 years) horizons as defined for our scenario analysis. The climate-related time horizons are consistent with our current interim 2035 SBTi Targets, Ford asset lifespans, strategic planning, and capital allocation. They differ from the time horizons identified for non-climate related IROs identified in our DMA.

The material risks are summarized in the table below.

Material impacts, Risks and Opportunities Related to Climate Change

Material Climate-related Risks

Transition Risks	
Regulation, Policy and Legal	Failing to comply with emissions regulations and meet ZEV thresholds may result in purchasing credits from competitors, curtailing vehicle sales, or paying fines.
Technology	Meeting stringent emissions and emerging regulatory standards may require substantial investments.
Market	Over investment in electrification and uptake not occurring at the same scale presents a financial risk.
Physical Risks	
Acute: Extreme Weather	- Heightened occurrences of extreme weather events can disrupt Ford's direct operations. - Heightened occurrences of extreme weather events can disrupt Ford's supply chain.

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Climate-related Opportunities

Opportunities	Description
Product	Developing a portfolio of electric vehicles for the transition away from internal combustion engine (ICE) vehicles is an opportunity for Ford. Ford's portfolio includes all-electric, plug-in hybrid, hybrid, and fuel-efficient ICE vehicles (e.g., EcoBoost). This portfolio provides Ford with the opportunity for growth and increased market share as the transition continues. Furthermore, connected vehicles generate significant amounts of data, which can enhance customer experiences and optimize vehicle performance.
Financial	There is an opportunity to drive scale, diversify, and directly source parts (battery) of the supply chain, and support battery innovation to deliver cost efficiency and improved profitability. Ford's Corporate, Supplemental, and 364-Day revolving credit facilities are tied to sustainability-linked KPIs. The applicable margin and facility fees may be adjusted if Ford achieves the specified targets.
Conserving Resources	We see several opportunities to conserve resources such as battery materials and energy, as well as to improve business productivity. We are reducing energy consumption in operations through efficiency projects which will lower our energy costs. Ford Pro helps commercial vehicle owners improve fleet efficiency and uptime.
Reputation	An increasing number of consumers think it's important for companies to take action on climate change, especially commercial vehicle and fleet operators who want to achieve their own carbon reduction targets; some are willing to pay more for products that are better for the environment. Meeting customer expectations by delivering electrified products and solutions, an always-on relationship with customers, and an ever-improving user experience will strengthen our reputation and improve our bottom line. We believe Ford is well positioned to establish a "green" reputation with customers based on our electrification plans supplemented with improved customer experience and our broader sustainability efforts which include decarbonizing our manufacturing, and circular economy actions.
Workforce	Electrification represents a revolution in the auto industry as it reshapes the future of work. We are mindful of the impacts on our employees, our supply chain, our communities, and our customers. We are addressing and evolving our workforce and talent development strategy as we move toward carbon neutrality and electrification.

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Scenario and Resilience Analysis

Scenario and Resilience Analysis Process

The scenario analysis not only informs Ford on relevant climate-related risks and opportunities, but it is also used to assess the resiliency of our strategy and business operations.

A team of internal experts qualitatively evaluated our corporate strategies, including our carbon neutrality strategy with associated mitigation actions and investments, assessing our resilience to each scenario. Each scenario requires a high-level qualitative assessment of the potential impact of the scenario and climate-related issues on Ford's financial performance (revenues and costs) and financial position (assets and liabilities). The team reviewed the scenario assumptions, brainstormed scenario implications to industry and Ford, and considered whether our strategies and investments are resilient to future business environments. The corporate analysis equally applies to FMCL as the nature of the business is also centered around vehicle manufacturing. Moreover, UK experts were part of the team assessing the resilience to each scenario. The results presented below were finalized in March of 2025 and are an update to the 2024 published analysis.

The resilience analysis was conducted for the entire value chain, focusing on our own operations, vehicles, the supply chain, and logistics. All previously discussed material climate-related physical and transition risks were considered in the analysis with no exclusions.

Each climate scenario was assessed for three time horizons:

- Short Term: 2025-2030 (0-5 years)
- Medium Term: 2030-2035 (5-10 years)
- Long Term: 2035+ (10+ years)

This approach is aligned with our current interim 2035 SBTi targets. It extends far enough into the future, as it will take time to decarbonize the transportation system, while still being relevant for Ford's strategic planning processes.

Note that these scenarios are not predictions of the future and do not represent forecasts.

The results of the climate scenarios used here are compatible with climate-related risks included in Item 1A. Risk Factors of Ford's 2024 [Form 10-K](#) Report.

Introduction to the Scenarios

We use the International Energy Agency's (IEA) World Energy Outlook (WEO) and IPCC scenarios as authoritative sources aligned with science and global energy projections that are relevant to our global footprint. WEO scenarios provide insight into energy supply and demand with implications for climate targets and economic development. Of the three WEO scenarios, we use the Stated Policies Scenario (STEPS) and the Net Zero Emissions by 2050 (NZE) Scenario shown in the table Scenario Comparison Overview on the following page. We also include the IPCC Representative Concentration Pathway 8.5 (RCP8.5) high emissions and temperature scenario. Like the WEO scenarios, RCP8.5 has underlying projections of energy consumption and socio-economic factors. These three scenarios cover conditions from high climate ambition to status quo to significant climate impacts, providing a useful range of circumstances to cover relevant risks and uncertainties in Ford's value chain.

- The NZE Scenario shows the global energy sector achieving net zero CO₂ emissions by 2050, with advanced economies reaching NZE ahead of others
- STEPS is a pragmatic exploration of the current policy landscape, mapping out a trajectory of policies that are in place or under development by global governments.
- The IPCC's RCP8.5 considers a case with high energy demand and GHG emissions growth in the absence of climate policies, leading to high temperature increase

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Scenario Comparison Overview

	Net Zero Emissions by 2050 Scenario (NZE)	Stated Policies Scenario (STEPS)	High Emissions/Temperature Scenario (RCP8.5)
Temperature Increase (2040 est.)	1.5°C	~1.8°C	2°C
Policy	Global policy implemented to limit temperature rise to 1.5°C. CO ₂ pricing rises rapidly in all regions	Today's policies with no changes Existing and planned CO ₂ pricing	No explicit climate policy
Technology	A wide portfolio of clean-energy technologies with new technologies playing an important role	Evolutionary development of existing technologies	Modest progress, focusing on unconventional fossil energy development and food security
Energy Supply (EJ) 2023 to 2040	632 to 538, -16.5% (electricity supply: +29%)	632 to 692, +9.5% (electricity supply: +18%)	650 to 1,000, +54%
Energy Mix (2040)	58% renewables & biomass	28% renewables & biomass	18% renewables & biomass
Energy Prices in 2030s	Oil averages \$42/bbl	Oil averages \$85/bbl	Fossil fuel prices double by mid-century (vs 2005)
Electric Vehicles in 2030s	Higher electric vehicle adoption across markets	Lower electric vehicle adoption in advanced economies	Extremely limited electric vehicle adoption; continued reliance on oil in the transport sector
Environment	Less severe weather events	Increasing severe weather events	Frequent and severe weather events
Economy	3% average annual growth	3% growth slows due to high rebuilding costs with increased weather related events	3% growth, but low per capita income increase as population growth is high. Highest rebuilding costs with increased weather related events

The Net Zero Emissions (NZE) by 2050 Scenario¹

This is a normative IEA scenario that shows a narrow but theoretically achievable pathway for the global energy sector to achieve net zero CO₂ emissions by 2050, with advanced economies reaching net zero emissions ahead of others. This scenario also meets key energy-related UN SDGs in particular, by achieving universal access to energy by 2030. This effort requires increased investment in clean energy and infrastructure output, in both emerging markets and developing economies. The scenario does not rely on emissions reductions from outside the energy sector to achieve its goals but assumes that non-energy emissions will be reduced in the same proportion as energy emissions. It is consistent with limiting the global temperature rise to 1.5°C by 2100 without a temperature overshoot (with a 50% probability).

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The Stated Policies Scenario (STEPS)¹

STEPS provides a more conservative benchmark for the future because it does not assume that governments will reach all announced goals. The scenario is not designed to achieve a particular outcome, and the rise in global average temperatures associated with STEPS is around 2.4°C by 2100 (with a 50% probability). Instead, it takes a more granular, sector-by-sector look at what has been put in place to reach energy-related objectives, taking into account not just existing policies and measures but also those that are under development. STEPS explores where the energy system might go without a major additional steer from policy makers.

High Emissions/Temperature Scenario (RCP8.5)²

The RCP8.5 scenario combines assumptions about high population and relatively slow income growth with modest rates of technological change and energy intensity improvements. With no explicit climate policy, the high energy demand is met primarily by fossil fuels. International trade in energy and technology is limited. There is a slow pace of innovation in non-fossil technology, with only modest cost and performance improvements. Technological progress is focused on advanced fossil technologies, particularly coal, and unconventional oil sources after 2050. GHG emissions more than double by 2050 due to increased fossil energy use and growing agricultural production for the large population. Global average temperatures associated with RCP8.5 increase about 5°C by 2100.

The Results — Scenario Implications

The scenario analysis assessments are summarized below for some of the most significant dynamics and associated implications on industry and Ford.

Net Zero Emissions by 2050 (NZE)

Zero-emission vehicles (ZEVs — electric vehicles and fuel cell electric vehicles (FCEVs)) scale in this scenario as technology develops and scales to reach long-term climate goals that minimize the effect of climate change. Efforts are underpinned by strong policy for grid decarbonization and the circular economy while cross-sector collaboration addresses common challenges throughout the value chain.

With strong policy, ZEVs scale, technology advances, and costs reduce. Affordable vehicles and charging solutions for homes and businesses are essential to scaling. A focus on fuel cells for medium- and heavy-duty vehicles is required to maintain leadership in these segments. Such an environment would allow Ford to rapidly scale its ZEV business, including FordPro services, meeting high ambition climate goals.

The transition does, however, present challenges, particularly in the short-term with heightened competition from newcomers in the ZEV space while complying with stringent emissions legislation. In the interim, while ZEVs scale, widespread deployment of electrified vehicles (HEVs, PHEVs and extended-range electric vehicles (EREVs)) is expected, stressing investments. Furthermore, costs need to be managed as materials decarbonize and infrastructure develops. For example, as the grid decarbonizes, near-term demand is expected to out-pace supply but then balance out in the long-term with universal access to affordable, clean energy.

Swift action with agile product development processes is required along with a rapid acceleration of workforce upskilling and reskilling. Climate-related disruptions at our own and our suppliers' facilities need to be managed, but pose less financial risk compared to the STEPS and RCP8.5 scenarios.

Stated Policies (STEPS)

With limited regional decarbonization policy support in advanced economies and lacking support in the rest of the world, effort is required to continue to develop meaningful, market-driven policy solutions to address climate change.

A challenging environment and economy make strategy development complex and costly as new technologies are deployed while maintaining existing technologies across a range of products. With limited scaling of ZEVs, higher costs result, leading to lower consumer acceptance. With reduced overall global volumes there would also be risk in regions with strong ZEV policies. ICE vehicles continue to dominate in regions without electric vehicle policy support, but high fuel efficiency is required — HEV offerings expand with PHEVs and EREVs also supporting decarbonization.

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Moderate workforce upskilling requirements are regionally based on ZEV market penetration, and plateau in the long-term. A higher cost of living and widening wealth gap creates additional stress on the workforce.

Increasing extreme weather events are a clear threat, disrupting production at Ford and supplier facilities. Severe weather-related events could also limit the ability of freight and logistics carriers to deliver components and materials from suppliers to us or finished vehicles from our plants to dealers for an extended period of time. This may increase our costs and delay or otherwise impact both our production operations and customers' ability to receive our vehicles.

Chronic climate-related risks are likely to increase resource scarcity, creating a competitive advantage for those engaged in the circular economy.

High Emissions/Temperature (RCP8.5)¹

This is the most difficult scenario in which to implement climate-based strategies due to societal disinterest. Without any explicit climate policies, the RCP8.5 high emissions and temperature scenario fails to set climate goals, let alone meet them.

The Ford business model would need to maintain ICEV focus for decades due to insufficient policy support globally. High cost of fuel still drives demand for fuel-efficient vehicles, promoting alternative fuels propulsion systems and other technology exploration.

On the operations side of the business, the workforce evolves minimally with the application of unconventional fossil fuels in ICEV compared to major changes required for ZEVs in the other scenarios. Furthermore, the workforce sees significant stress with the highest cost of living and largest wealth gap.

Significantly higher costs are required to adapt to climate change in this scenario. Resilience demands major changes from the current business plan and may require planning for relocation of assembly plants to less affected regions. Similarly, the supply chain is increasingly fragile and vulnerable to disruptions caused by frequent extreme weather events. As a result, premium freight costs are also likely to increase to address operations and supply chain disruptions. Likewise, our standard logistics network experiences increased weather-related disruptions.

The circular economy is critical to secure resources as chronic climate-related risks significantly increase resource scarcity.

Scenario Analysis Summary

These scenarios expose the challenges and complexity of decarbonizing the entire automotive value chain. The path forward will be influenced by key factors such as policy, ZEV and carbon-free grid infrastructure, low-carbon technology, and market dynamics. There is significant uncertainty as to how these factors will develop over time, and they are also likely to differ across product segments and regions.

We expect that passenger vehicles will be carbon neutral before larger commercial vehicles due to technical challenges decarbonizing the latter. However, a key concern in general is the pace of uptake and the achievable ZEV market share. Where there is a lack of a comprehensive, market-driven carbon-pricing solutions, such as in the case of the STEPS and RCP8.5 scenarios, lower-than-expected ZEV demand could result in increased costs and decreased ZEV sales and revenue.

Under such conditions there is high risk that Ford, and companies in most industries, would not be able to decarbonize the entire value chain to achieve climate and energy aspirations. Consequently, it is anticipated that carbon neutrality will be reached first in advanced economies with supporting policies before the rest of the world. Having strong ZEV policy support across advanced economies is also key to capitalizing on global scale and being competitive, particularly with ZEV-only OEMs in regions with policy support.

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With the uncertainty as to how the market will develop, a critical take-away from this future scenario analysis is a need for a diverse yet global set of environmentally friendly technology solutions that are responsive to the changing needs of our customers.

Furthermore, as the temperature rises over time and climate-related disruptions increase, we will need to ensure resilience with appropriate adaptation measures in our own operations, supply chain, and our logistics. A significant disruption to our production would lower volumes and have a substantial adverse effect on our financial condition.

Overall there are a number of internal and external factors that are critical to success as we work toward carbon neutrality: our product portfolio including our ZEV strategy, operations, supply chain, logistics, public policy, infrastructure development, and workforce.

The Results — Resilience of Ford's Strategy

Ability to Respond

The scenario analysis highlights that significant effort is required to transform our product portfolio, supply chain, operations, logistics, and workforce to realize the transition to a climate-neutral economy. A complete transformation of the value chain, however, will take decades, going beyond the time horizons of this assessment. Our ability to respond is outlined below.

We cannot be certain that any expectation, forecast, or assumption made in preparing these forward-looking statements will prove accurate, or that any projection will be realized. It is to be expected that there may be differences between projected and actual results. Our forward-looking statements speak only as of the date of their initial issuance, and we do not undertake any obligation to update or revise publicly any forward-looking statement, whether as a result of new information, future events, or otherwise. This analysis is also applicable to FMCL.

Products and Electric Vehicle Adoption Enablers

We are committed to building a profitable, enduring electric vehicle business for the long term. This will help us address the largest source of our GHG emissions and successfully compete in a low-carbon economy. To reach this goal, we are currently focused on building a profitable electric vehicle business that aligns investment and manufacturing capacity with customer demand. This includes:

- Scaling and reducing costs of electric vehicles in market today (as of the end of 2024)
 - Mustang Mach-E, F-150 Lightning, E-Transit, and in Europe the newly launched Explorer, Capri, E-Transit Custom, and E-Tourneo Custom
- Next-gen electric vehicles take a system-level approach
 - Ford's next-generation electric vehicle platform takes a system-level approach to designing, sourcing, and manufacturing with outcomes aimed at changing customer expectations. Ford's Advanced Electric Vehicle Development team is questioning previous assumptions rather than using an evolutionary approach that builds upon existing designs
- Increasing demand by removing barriers to adoption
 - 800,000+ charging plugs on the BlueOval Charge Network in Europe.
- Helping fleets electrify
 - Ford Pro's end-to-end solutions including electric vehicles, charging, and software will help facilitate businesses of all sizes to decarbonize, meet emerging regulations, improve productivity, and lower total cost of ownership
- Remaking our battery footprint

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- This includes shifting our battery mix to LFP (Lithium Iron Phosphate) and creating an electric vehicle supply chain that upholds Ford's ESG values

Along this journey we anticipate that electric vehicle technology will continue to advance and become more affordable, while the grid will continue to decarbonize, bolstering our confidence in achieving GHG reductions.

During the transition period to fully carbon neutral transport, our approach of offering a broad choice of lower emission powertrains also provides us with resilience. For example, hybrids will be a key product offering during the transition to electric vehicles, particularly in markets where the electric vehicle infrastructure is not mature.

We will partner when necessary to address key enablers, leverage scale, and avoid capital destruction. For example, Ford Pro is an integrated partner helping customers decarbonize their fleets, not just with vehicles but also charging solutions and productivity software. Additionally, Ford electric vehicle customers have access to more than 20,000 Tesla Superchargers across the U.S. and Canada through the BlueOval Charge Network.

Ford's response to the various scenarios will require different solutions, but the building blocks are in place as discussed above. Our electric vehicle foundation will allow us to scale as the market grows, and we will continue to address key enablers. Our lower-emission ICEVs, including traditional hybrids and alternative fuel-compatible vehicles, help decarbonize the business in the transition or in the high temperature scenario.

Supply Chain

Decarbonizing the supply chain is a complex task of growing importance as we electrify our portfolio. We have put a number of enablers in place to reach our near-term decarbonization target and long-term goals. Collaboration with our suppliers, governments, and other stakeholders is essential in the transition.

Integrating supplier carbon neutrality status into production sourcing decisions, requiring our suppliers to increase energy efficiency and their use of carbon-free electricity, and supporting suppliers with best practices along the carbon neutrality journey are key enablers to decarbonize the supply chain and meet climate targets.

We have increased attention and engagement with high emitting suppliers, including batteries, steel, and aluminum. Future green tech needs to be scalable, reliable, and affordable to end customers. Having the right policy support in place will likely be important to facilitate these developments.

Operations

Ford also recognizes the need to ensure resiliency of our operations, by redeploying, upgrading, or decommissioning existing GHG and energy-intensive assets. In the short term, Ford is evaluating opportunities to replace or upgrade energy and GHG-intensive assets as part of our budgeting process. In the medium term, Ford will continue to use our life cycle planning and budgeting processes to replace or upgrade energy and GHG-intensive assets. To progress toward our goal of achieving carbon neutrality no later than 2050, Ford is also developing a long-term plan for how we might best address GHG and energy-intensive assets, with a specific focus on reducing emissions from our production processes. Implementation of this plan is expected to extend into the long term.

Logistics

Investment is also required to decarbonize our logistics network. Technology is in development to address these hard-to-abate emissions with current solutions being cost intensive. In the transition to affordable low-carbon technology, Ford is working on projects such as the examples listed below:

- Bio-LNG vessels that move vehicles from Ford Otosan in Türkiye to Ford of Europe and U.K. destinations
- Road trial in Europe with HVO (Hydrotreated Vegetable Oil), replacing diesel fuel, e.g., carrier moving components to our assembly plants
- Ongoing logistics network and packaging density optimization globally

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Also important to success here is policy support to help facilitate the transition.

Workforce

We will continue to adapt our reskilling process to address our changing vehicle portfolio. This includes our commitment to the principles of lifelong learning, embracing a growth mindset for career development, and investing in job training and career readiness initiatives.

Securing Finances

Ford's Sustainable Financing Framework, introduced in 2021, is supporting the financing of our clean transportation projects and efforts to create positive social and environmental benefits as we move towards a carbon neutral transportation future.

By 30th June, 2023, \$4.21 billion, the total of the net proceeds of the two bonds, had been fully allocated to the design, development, and manufacture of Ford's electric vehicle lineup as well as other development activities that will benefit our entire electric vehicle portfolio.

Performance Data

Data Supporting our metrics & targets

Value Chain Greenhouse Gas (GHG) Emissions

	Footnote	2024
Significant Scope 3 GHG Emissions (metric tons CO ₂ e)	1,2,8	
Category 11 — Use of sold products — vehicle use (CO ₂ e) FMCL		10,717,383

	Footnote	2022	2023	2024
Global CO ₂ Tailpipe Emissions (g/km)				
Ford United Kingdom CO ₂ Tailpipe Emissions per Passenger Vehicle	3	—	—	—
Ford United Kingdom CO ₂ Tailpipe Emissions per Light Commercial Vehicle	3	—	—	—

	Footnote	2022	2023	2024
Global Fleet Efficiency	4			
Well-to-wheels intensity (LDV and HDV)	5	311	304	322
Well-to-wheels intensity (LDV)	6	250	251	257
Well-to-wheels intensity (HDV)	7	607	609	593
Percent reduction in well-to-wheels intensity (LDV and HDV) since 2019 (SBTi)	5	6%	8%	2%
Percent reduction/(increase) in well-to-wheels intensity (LDV only) since 2019		6%	1%	4%
Percent reduction/(increase) in well-to-wheels intensity (HDV only) since 2019		1%	8%	4%

Vehicle Sales

	Footnote	2022	2023	2024
Electric and Hybrid Vehicles Sold - United Kingdom (retail)	9			
Total Electric Vehicle Retail		22k	26k	38k
Zero Emission Vehicle (ZEV)		7k	5k	14k
Hybrid Emission Vehicle (HEV)		5k	11k	9k
Plug-in Hybrid Vehicle (PHEV)		10k	10k	15k

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Footnotes

1. FMCL's Scope 1 and 2 emissions can be found in the section Streamlined Energy and Carbon Reporting on pages 39-40
2. FMCL Scope 3 emissions are estimated for only the use of sold products category, the largest emissions source.
3. Data for the United Kingdom will be reported when available from the UK government. Currently, official data is not available from VCA (Vehicle Certification Agency).
4. 2023 and 2022 data have been updated to reflect final values. Previous reporting based on preliminary data. 2024 data available in 2026.
5. Global fleet efficiency intensity and reductions (our SBTi target) include both light duty (LDV) and heavy duty (HDV) vehicles in the U.S., EU and U.K., and China, representing the main regions where Ford operates.
6. LDV includes cars and light trucks in U.S., M1 and N1 vehicles in EU and U.K., and M1 vehicles in China
7. HDV includes Class 2b-3 vehicles and light heavy duty and medium heavy duty vehicles in U.S.
8. Prior year emissions are not shown because methodology changes in the 2024 Scope 3, Category 11 calculations make comparison across the years not appropriate. The methodology is described within methodology and assumptions below.
9. Sales registrations to retail customers for the 2024 Calendar Year, as reported by S&P Global MarketInsight (data from local authorities), are current as of 7/31/2025

Methodology and Assumptions

Scope 3, Category 11 use of sold products - vehicle use (WTW): The emissions include all passenger vehicles and light commercial vehicles sold by FMCL. Ford uses regulatory compliance data for vehicle CO₂. Emissions are reported as well-to-wheels, which includes GHGs from both production and consumption of the energy used by the vehicles, and as on-road, which converts regulatory laboratory test tailpipe emission data to on-road emissions. Emission factors for energy production are sourced from the EU Joint Research Center/EUCAR/CONCAWE (JEC) WTW Study v5 for fuels and the UK Government GHG Conversion Factors dataset. Lifetime is defined as 150,000 miles (241,000 km).

In 2024, tailpipe emissions of CH₄ and N₂O were added to the Scope 3 vehicle emissions inventory. GHGs from mobile air conditioning refrigerant leakage are also included. Biogenic CO₂ emissions from combustion of biofuel are reported separately from the scopes. The 2024 Scope 3 category 11 biogenic CO₂ is 458,468 metric tons CO₂.

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TCFD Index

The table below identifies the actions taken by Ford in response to the 11 recommended disclosures of the Task Force on Climate-Related Financial Disclosures (TCFD).

TCFD recommended disclosure	Location (section, page reference)	CA 414CB
GOVERNANCE: Disclose the organization's governance around climate-related risks and opportunities.		
a. Describe the board's oversight of climate-related risks and opportunities.	Governance and Risk Management; Pages 11	(a)
b. Describe management's role in assessing and managing climate-related risks and opportunities.	Governance and Risk Management; Pages 11-12	(a)
STRATEGY: Disclose the actual and potential impacts of climate-related risks and opportunities on the organization's business, strategy, and financial planning where such information is material.		
a. Describe the climate-related risks and opportunities the organization has identified over the short, medium, and long term.	Materiality and Climate Risk and Opportunities; Pages 17-20	(d)
b. Describe the impact of climate-related risks and opportunities on the organization's businesses, strategy, and financial planning.	Transition Plan, Metrics and Targets; Pages 6-10	(e)
c. Describe the resilience of the organization's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	Scenario / Resilience Analysis; Pages 20-26	(f)
RISK MANAGEMENT: Disclose how the organization identifies, assesses, and manages climate-related risks.		
a. Describe the organization's processes for identifying and assessing climate-related risks.	Double Materiality Assessment; Pages 15-17 Materiality and Climate Risk and Opportunities; Pages 17-20	(b)
b. Describe the organization's processes for managing climate-related risks.	Governance and Risk Management; Pages 12-13	(b)
c. Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organization's overall risk management.	Governance and Risk Management; Pages 12-14	(c)
METRICS AND TARGETS: Disclose the metrics and targets used to assess and manage relevant climate-related risks and opportunities where such information is material.		
a. Disclose the metrics used by the organization to assess climate-related risks and opportunities in line with its strategy and risk management process.	Transition Plan, Metrics and Targets; Pages 7-10	(h)
b. Disclose Scope 1, Scope 2, and if appropriate, Scope 3 greenhouse gas (GHG) emissions and the related risks.	Transition Plan, Metrics and Targets; Pages 7-10 Performance Data; Pages 27 SECR; Pages 39-40	(h)
c. Describe the targets used by the organization to manage climate-related risks and opportunities and performance against targets.	Transition Plan, Metrics and Targets; Pages 6-10	(g)

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Footnotes

1. Excerpts from "International Energy Agency | World Energy Outlook 2022 & 2023", Chapter 2 and Annex B.
2. Riahi, K., Rao, S., Krey, V. et al. RCP 8.5—A scenario of comparatively high greenhouse gas emissions. *Climatic Change* 109, 33 (2011). <https://doi.org/10.1007/s10584-011-0149-y>

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STRATEGIC REPORT (continued)

Key performance indicators

The company measures its financial performance by reference to profitability and market share based on the strategies set out above. Some of the key performance indicators used by the business are set out below:

		2024	2023
Revenue	Revenue is up 17% reflecting primarily improved vehicle pricing and vehicle mix.	£15,593m	£13,318m
Market share	Decreased market share in passenger vehicles (PV) and commercial vehicles (CV). 9.8% market share (car and commercial vehicles) 10.8% market share (car and commercial vehicles)		
PBIT	Profit before interest and tax reflects continued CV strength and reduced PV volume.	£253m	£374m
Net assets	Balance Sheet position primarily explained by positive remeasurement of pension position.	£2,843m	£2,767m

Results

The Company's results for the year are set out in the income statement on page 46.

The latest position of the pension schemes under Financial Reporting Standard 101 ("FRS 101") (disclosed in note 20 to the financial statements) shows a net surplus at the year-end before deferred tax of £1,620m (2023: £1,388m).

Employee communications

We recognise that good communication supports employees in their roles and improves organisational performance. Effective communication is important for developing trust, increasing engagement and ultimately enriching our culture.

During the year, there were regular meetings between management and employee representatives at all Ford locations to review operational performance and matters of local importance. National level meetings, involving senior management and union officials were also held regularly during the year to discuss overall business performance and related matters.

The Company has continued to communicate directly with employees, as appropriate, via supervisory briefings, Employee Information bulletins and @FordOnline, the Ford intranet web-based system.

Building a Diverse and Inclusive Workplace

Ford is committed to diversity and equality of opportunity for all and is opposed to any form of less favourable treatment or harassment on the grounds of sex, marital status, civil partnership status, parental status, race, ethnic origin, colour, nationality, national origin, disability, sexual orientation, religion/belief, gender reassignment and gender identity, age and those with caring responsibilities.

We are committed to supporting and sustaining a respectful and inclusive workplace for all employees. We believe this empowers every person to do their best work and ultimately achieve the Ford+ plan. We actively recruit and hire the best talent and are proud that our workforce is made up of people with different backgrounds, perspectives, and experiences so we can deliver the best products and services for our customers around the world.

Ford Motor Company Limited
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STRATEGIC REPORT *(continued)*

Building a Diverse and Inclusive Workplace *(continued)*

Ford offers 10 global Employee Resource Groups (“ERGs”) that represent various dimensions of our employee population, including, race, ethnicity, gender, religion, LGBTQ+, disability, veterans, and generation with chapters throughout the world. All ERGs are open to all employees and are instrumental in providing a voice to our global workforce, while also providing valuable insights into the employee experience and product and service development.

We work to strengthen collaboration across the organization by embedding inclusion in the leadership behaviors that support the Ford operating system. We also leverage the benefit of diversity by listening to the voices of our employees and stakeholders, which strengthen our workplace, systems, and offerings and ultimately drive value for the business.

Our Community

We actively support our local communities through our employee volunteering efforts, through the work of the Ford Britain Trust and the Ford Motor Company Fund.

Volunteering

We offer paid time off for employees to enable them to give back to their local communities. The Company aims to contribute to society and integrate Ford within the local community, build a good reputation with customers and potential employees and encourage personal development through team building skills and job enrichment.

Each year, thousands of employees volunteer in community service projects around the world, bringing unique skills, passion and teamwork to grassroots organizations and non-profits. Since 2005, Ford employees have logged more than 1.7 million volunteer hours – feeding the hungry, building homes, renovating schools, installing clean water systems and helping in many more ways to give back to communities across six continents.

Ford Britain Trust

The Ford Britain Trust was established back in April 1975, with the purpose of supporting the local communities where Ford and its employees live and work. Ford Britain Trust pays particular attention to projects focusing on education, the environment, children, those with disabilities, youth activities and projects that provide clear benefits to local communities. To date more than £4 million has been awarded by way of grant donations to various organisations and good causes.

Ford Philanthropy

As the global philanthropic arm of Ford Motor Company, Ford Philanthropy (previous named “Ford Fund”, re-named in April 2024) focuses on providing access to essential services, education for the future of work and entrepreneurship opportunities for under-resourced and underrepresented communities. Ford Philanthropy’s partnerships and programming are designed to be responsive to unique community needs, ensuring people have equitable opportunities to move forward. Harnessing Ford’s scale, resources and mobility expertise, Ford Philanthropy drives meaningful impact through grantmaking, Ford Resource and Engagement Centers and employee volunteerism. For more information, visit fordphilanthropy.org or join us at [@FordPhilanthropy](#) on [Facebook](#), [Instagram](#) and [Twitter](#).

Ford Motor Company Limited
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STRATEGIC REPORT (continued)

Health and Safety

Health and Safety of employees remains a priority consideration within the Company.

The Chief Medical Officer, continues to manage the Company's site occupational health services in partnership with an external medical specialist provider. Together they deliver a professional service designed to provide independent assessment and advice on work and health, alongside emergency call out and walk in services.

Work continues to develop the service to support the mental and physical health of our workforce, and is aligned to wellbeing initiatives developed in collaboration with wellbeing teams.

With safety professionals located across all main locations, the Safety team continue to advise and support management to improve safety metrics and key performance indicators across all Ford locations while improving internal assessment process ratings.

Ford complies with health and safety legal requirements and has processes in place to minimise health and safety risks throughout the operation. This is achieved by ensuring that Ford health and safety management systems are consistent with UK health and safety executive guidance for managing health and safety.

Ford have implemented updated processes to control risks associated with the design, development, and manufacture of Battery Electric Vehicles.

In manufacturing areas, Ford use a standardised safety operating system which specifies minimum operating requirements to manage safety in operational areas. This process has been extended to the key non-manufacturing operational areas at Dagenham and Dunton. The Company remains committed to improving essential safety skills at all levels of the organisation offering a comprehensive range of targeted health and safety training programmes.

Corporate social responsibility

"Contributing to a better world has always been a core value at Ford, and our commitment to sustainability is a key part of who we are. Our vision is to create an even more dynamic and vibrant company that improves people's lives around the world and creates value for all of our stakeholders."

William Clay Ford, Jr, Executive Chairman. Ford

The Company has well established policies for safeguarding and improving the social and environmental impact of its operations. For example, all the Company's manufacturing locations are ISO14001 certified and, as part of a joint initiative agreed with its European Works Council, it operates to agreed social rights and social responsibility principles. We also encourage our suppliers both to work to achieve ISO14001 certification and to operate their own plants to a standard consistent with our principles. Globally 100% of our production suppliers, who wish to seek future business with Ford, are ISO14001 certified. We operate a diversity award program; the Chairman's leadership award for diversity (CLAD). These annual awards celebrate our efforts in Europe for an inclusive culture. This approach is mirrored by our Purchasing team, who evaluate and reward Ford suppliers for their diversity efforts.

The Company continues to undertake class leading environmental and social responsibility actions. The Company's commitment to the environment is demonstrated through examples such as: the wind turbines to power the state-of-the-art Dagenham Diesel Centre manufacturing facility at Dagenham. The site is a zero waste to landfill site, we compress and extract and recycle oil from plant sludge and use the dried material as a fuel for incinerators.

Ford Motor Company Limited
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STRATEGIC REPORT (continued)

Corporate social responsibility (continued)

Social responsibility is equally demonstrated through a focus on vehicle safety and our commitment to the community. Our corporate safety policy outlines our commitment to design and build vehicles that meet or exceed applicable laws and regulations, while meeting the safety needs and expectations of our customers. In line with our policy letter, Ford is continuously working to enhance the safety of our products.

Our commitment to the community is built around the support and encouragement of various employee volunteering efforts, the backing and operating of the Ford Britain Trust and the on-going relationship and support of a range of charitable and altruistic activities.

Our employees are committed to helping the community through their volunteering efforts, both in person and virtual volunteering.

Global Caring Month, which takes place during September, is a concentrated focus on community service, with volunteers supporting projects focused on education, equity, economic and community development, health and basic needs programs. Ford Motor Company Philanthropy, working with their international grant making partner GlobalGiving, also provide the opportunity for non-profits to receive a volunteering grant so they can buy the necessary tools and supplies to support the activities or a gratitude grant, designed to help them to sustain or expand their charitable services. In 2023 charities supported in the UK included Essex and Herts Air Ambulance Trust, The Bike Project and Professors without Borders.

The Ford Motor Company Philanthropy is the philanthropic arm of Ford and has worked shoulder-to-shoulder with communities globally to help build a better world for more than seven decades. Ford Philanthropy co-create and invest in programs and partnerships that expand access to opportunities to help move people and communities forward. Their work focuses on three key areas: essential services, education for the future of work, and entrepreneurship. This includes programs that expand access to fresh food, train people for jobs, and connect individuals to resources to build a new business.

In the UK, Ford Philanthropy projects include the Ford College Community Challenge, Ford Smart Mobility Challenge, education for the future of work programs such Primary Engineer's "Engineering a Career" program and the Athena program run with Loughborough University. Ford Philanthropy also supports Future Youth Zone based in Barking and Dagenham and provides food and meal services working with The Felix Project.

On behalf of the Board

Andrew Duckers

A. Duckers
Director
25 September 2025

Ford Motor Company Limited
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CORPORATE GOVERNANCE REPORT

Corporate Governance Report for the year ended 31 December 2024

The following section sets out the Company's corporate governance arrangements as required under Paragraphs 11B and 11C of Schedule 7 to the Large and Medium sized Companies and Groups (Accounts and Reports) Regulations 2008 and satisfies the requirements set out by Section 172 (1) of the Companies Act 2006. The section 172 statement can be found on page 3 of the Strategic Report.

The Board is committed to maintaining high standards of corporate governance to support the delivery of the business strategy, to maintain positive relations with all the Company's stakeholders and to create long-term value for its shareholder.

During the reporting year, the Company applied the Wates Corporate Governance Principles for Large Private Companies (the "Wates Principles").

This report provides details on how the Board have approached their responsibilities during the year which, in turn, demonstrates how the Directors have acted in a way which is likely to promote the success of the company, as set out in section 172(1) and is explained more fully using the six Wates principles set out below.

Wates Principles	
Purpose An effective board promotes the purpose of a company and ensures that its values, strategy and culture align with that purpose.	The Company's values are aligned with those of Ford Motor Company. A principal value is that employees act with integrity and demonstrate ethical behaviour, as set out in the Company's Employee Handbooks and related policies. The Company's employee engagement and equal opportunities and diversity initiatives are set out on pages 30-31 in the Company's Strategic Report. The Board is fully aligned with Ford Motor Company's purpose: To help build a better world, where every person is free to move and pursue their dreams. This will be achieved globally through the delivery of the Ford+ plan which is customer -centric and is focused on enriching customer experience, disruptive technology, building new capabilities and deepening loyalty.
Composition Effective board composition requires an effective chair and a balance of skills, backgrounds, experience and knowledge, with individual directors having sufficient capacity to make a valuable contribution. The size of a board should be guided by the scale and complexity of the company.	The Board composition for 2024 is detailed in the Directors' Report on page 36. The Board is satisfied that its composition includes individuals with a mix of skills and experience that are up to date, cover the key business areas necessary to make informed decisions and provide effective oversight of the Company's business risks. The Board and its committees regularly receive briefings on pertinent thematic issues.

Ford Motor Company Limited
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CORPORATE GOVERNANCE REPORT (continued)

Wates Principles	
Responsibilities A board should have a clear understanding of its accountability and terms of reference. Its policies and procedures should support effective decision-making and independent challenge.	The chairperson or their delegate chairs regular Board meetings which have Board presentations containing information and data to drive matters requiring discussion and decision. There are clear lines of responsibility between the members of the Board in their work responsibilities, thereby ensuring a broad range of expertise and knowledge to make informed decisions. The Board has developed a list of matters to be covered at the Board meetings throughout the year, which includes standing agenda items for each meeting which cover the key operating areas of the Company's business together with report outs from subject matter experts in other key areas on a periodic basis, including internal controls, pensions, property, tax matters, environmental matters. Examples of matters considered by Board during the reporting period are set out on page 35.
Opportunity and risk A board should promote the long-term success of the company by identifying opportunities to create and preserve value and establishing oversight for the identification and mitigation of risks.	The Chairperson has regular meetings with the Ford of Europe decision makers to discuss the Company strategy. Representatives from the Board engage with Ford Motor Company to ensure that the Company's plans are fully aligned with the group. One of the Directors attends the regular Ford of Europe Audit Committees and, where appropriate, would report back matters to the Board which have material implications for the Company. Each of the Directors for their respective specialist areas receives a copy of any audit report conducted for their area. Where appropriate, the Director would raise any material issues to the Board. Furthermore, the Board monitored the implementation of the UK business transformation and other relevant strategic projects which are being undertaken to deliver value for stakeholders as well as exploit entrepreneurial opportunities.
Remuneration A board should promote executive remuneration structures aligned to the sustainable long-term success of a company, taking into account pay and conditions elsewhere in the company.	The Company rewards employees and members of the Board for performance and contributions to business success. The Company's compensation and benefits package in total will be competitive with leading companies. Compensation is generally comprised of three key elements; base salary, annual bonus and long term incentive plans or stock-based awards for certain levels of employees.
Stakeholders A board has a responsibility to oversee meaningful engagement with material stakeholders, including the workforce and have regard to that discussion when taking decisions.	The board fostered good stakeholder relationships based on the company's purpose Full particulars of the Company's stakeholder engagement are contained in the section 172 statement in the Strategic Report on pages 3-5.

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CORPORATE GOVERNANCE REPORT (continued)

Matters Reserved and considered by the Board during the reporting period

During the reporting period, the Board held eight Board meetings and a safety briefing during which it deliberated the non-exhaustive list of matters below which demonstrates how the Directors have complied with their statutory duties and in particular s.172 CA 2006 duty to promote the success of the Company:

- The Board received status updates on the implementation of the UK business transformation.
- The Board received periodic Health and Safety Reports, including metrics dashboards to monitor, amongst other factors, workplace health, safety, welfare and environmental information.
- The Board continued to monitor the long-term cash and liquidity position of the Company.
- The Board continued to ensure that the Company delivered products that met customers expectations.
- The Board continued to ensure that the Company has a robust and resilient Business Continuity Plan.
- The Board continued to monitor the implementation of the ESG reporting framework and plan.
- The Board received periodic tax reports in relation to compliance and staff training.
- The Board continued to support the timely publication of the gender and ethnicity pay gap report.
- The Board continued to support the timely publication of the Company's payment practices report and support practices to ensure payments are made within contractual timescales.
- The Board reviewed and approved the Company's Modern Slavery Statement and supports practices as part of the Ford group.
- The Board continued to receive periodic updates on significant legal matters.
- The Board reviewed and approved the Company's Annual Report and Financial Statements for the prior financial year.
- The Board continued to receive periodic reports from Internal Controls.
- The Board continued to receive periodic updates from the Site Management & Property team.
- The Board continued to receive periodic reports from the Treasury, Sales, Manufacturing, Pensions, and Ford of Britain Charitable Trust teams.

Ford Motor Company Limited
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DIRECTORS' REPORT

Directors' Report for the year ended 31 December 2024

The directors present their ninety-sixth report and audited financial statements of the Company for the year ended 31 December 2024.

Directors

The directors of the Company who were in office during the year and up to the date of signing the financial statements were:

L. Brankin (Chair & Managing Director)

T. Sapsford

A. Duckers

J. Skerry

N. Walker

Qualifying indemnity provisions

Qualifying third party indemnity provisions and pension scheme indemnity provisions are in force for the Company's directors as of the date of this report and were in force for the duration of 2024.

Employees' equal opportunities

Ford is committed to diversity and equality of opportunity for all and is opposed to any form of less favourable treatment or harassment on the grounds of sex, marital status, civil partnership status, parental status, race, ethnic origin, colour, nationality, national origin, disability, sexual orientation, religion/belief, gender reassignment and gender identity, age and those with caring responsibilities. We support equal opportunity and equal pay.

We are committed to fostering a respectful, inclusive, and safe working environment for all employees. We believe this empowers every person to do their best work and ultimately achieve the Ford+ plan. We actively recruit and hire the best talent, including people with disabilities, and are proud that our workforce is made up of people with different backgrounds, perspectives, and experiences so we can deliver the best products and services for our customers around the world.

Future developments

The directors have no plans at present to change the Company's activities (as described in the Strategic Report) in the near future.

Customers, Suppliers and Others

As described in the Strategic Report.

Dividends

The directors recommend that dividend of £122,000,000 (12.41 pence per share) be paid in respect of 2024 (2023: £84,500,000(9.00 pence per share))

Political donations

There were no contributions to political parties in 2024 (2023: £nil).

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DIRECTORS' REPORT (*continued*)

Financial risk management

The Company's operations expose it to a variety of financial risks that include price risk, credit risk, liquidity risk, interest rate risk and exchange rate risk. The Company has in place a risk management programme that sets out specific guidelines to manage these risks and the circumstances where it would be appropriate to use financial instruments to manage these.

Price risk

The Company is exposed to commodity price risk as a result of its operations and has entered into arrangements with related parties to manage a portion of this risk. The Company holds no listed or other equity investments as part of its core business and therefore has no operational exposure. However, the Company maintains defined benefit pension schemes with material holdings in return seeking investments. The Company performs regular reviews to ensure the pension schemes are adequately funded over time.

Credit risk

The Company has implemented policies that require appropriate credit checks on potential customers. The amount of exposure to any individual counterparty is subject to a limit, which is specified within individual agreements.

Liquidity risk

The Company maintains access to short-term financing designed to ensure sufficient liquidity.

Interest rate cash flow risk

From time to time, the Company has floating rate interest bearing assets and liabilities which create a net exposure to changes in interest rates. The Company has chosen not to use derivative financial instruments to manage these risks, but the directors will revisit the appropriateness of this policy should the Company's exposure change significantly.

Exchange rate risk

The Company has exposures to exchange risks due to sourcing materials and selling products in various currencies. The Company has entered into arrangements with related parties to manage a portion of these risks.

The Company has certain of its assets denominated in non-functional currencies, created both cash flow and statement of financial position re-valuation risk. The Company manages this risk through the use of foreign exchange derivatives resulting in no material impact from exchange rate changes.

Research and development

Research and development as part of the ongoing drive to maintain a flow of customer-focused, innovative and affordable vehicle launches is now carried out by the Company's parent company, Ford Technologies Limited. The Company continues to be a substantial employer of engineers and technicians, a centre of excellence for leading edge automotive technologies and is a major contributor towards the UK Government's objective of further developing the fields of science, engineering and technology.

Ford Motor Company Limited
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DIRECTORS' REPORT (continued)

Streamlined Energy and Carbon Reporting (SECR)

	Energy Consumption kWh		CO2 Emissions Location based tCO2		CO2 Emissions Market based tCO2	
	2024	2023	2024	2023	2024	2023
Scope 1 Energy/ Emissions						
Natural Gas	56,730,885	56,774,909	10,376	10,386	10,376	10,386
Gas oil	9,316,378	11,631,666	2,390	2,983	2,390	2,983
Business Owned Transport	55,263,677	56,597,439	14,006	14,340	14,006	14,340
Fuel for product testing	316,535	854,096	80	217	80	217
Total Scope 1 Energy/ Emissions	121,627,475	125,858,110	26,852	27,926	26,852	27,926
Scope 2 Energy/ Emissions						
Electricity	88,239,048	89,306,765	18,270	18,493	31	50
Total Scope 2 Energy/ Emissions	88,239,048	89,306,765	18,270	18,493	31	50
Scope 3 Energy/ Emissions						
Employee Owned and Leased Vehicles	1,050,095	1,050,474	253	255	253	255
Total Scope 3 Energy/ Emissions	1,050,095	1,050,474	253	255	253	255
Total Scope 1,2 & 3	210,916,618	216,215,349	45,375	46,674	27,136	28,231

Carbon Intensity Metric	2024	2023
Revenue in mil £	15,593	13,318
tCO2 per mil £ revenue	2.91	3.50

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DIRECTORS' REPORT (continued)

Streamlined Energy and Carbon Reporting 2024 (continued)

Scope and Methodology

Ford Motor Company Limited (FMCL) reports greenhouse gas (GHG) emissions in accordance with the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018. We follow the HM Government Environmental Reporting Guidelines (March 2019) and have defined the scope of the FMCL SECR as all energy use and carbon emissions from our operations in the United Kingdom, using the financial control boundary approach.

- Scope 1 emissions are generated from the gas and gas oil used in all buildings where the Company operates in the UK and emissions generated from company vehicles and trucks used for business travel in the UK. We also include the fuel combusted for product testing.
- Scope 2 emissions are generated from the use of electricity in all buildings FMCL occupies in the UK.
- Scope 3 emissions are generated from employees on Company business using their own or leased vehicles.

The reporting period for GHG emissions ran from 1 January to 31 December 2024. Conversion factors were taken from the 2024 UK Government's Conversion Factors for Company Reporting document. Both location based and market based emissions are presented.

Where possible, energy use was determined from supplier invoices or sub meter readings. Where the landlord controls the supply via a service arrangement, estimates were made based on the floor space occupied or standard consumption values. Transport emissions for company owned trucks and emissions from product testing were determined from fuel consumption. Fuel expense and mileage claims were used to determine emissions from other business travel in company owned or leased vehicles as well as employee vehicles on company business.

Energy Efficiency Actions Taken

All FMCL operated facilities are supplied with electricity from renewable energy sources, and four wind turbines with a total capacity of 6.4 MW generate electricity directly at our manufacturing locations. Energy efficiency is engrained in our daily processes through the Ford Energy Management Operating System (EMOS). Under EMOS, targets are set and tracked for each production facility and road maps are developed to achieve these targets. Energy teams work on identifying improvement opportunities.

Best practice energy efficiency actions continue to be implemented such as switching off all engines and ancillaries on a daily basis, and at the weekends in the plant. The site also continues to install LED lighting throughout the facility to reduce electricity demand. Remote working and the use of virtual meetings has reduced employee commuting. Electric vehicle charging points are available to allow employees to charge their vehicles while at work, as part of the electrification infrastructure roll out.

Statement of directors' responsibilities in respect of the financial statements

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law).

Ford Motor Company Limited
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DIRECTORS' REPORT (continued)

Statement of directors' responsibilities in respect of the financial statements(continued)

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing the financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 101, have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006.

Director's confirmations

In the case of each director in office at the date the Directors' Report is approved:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware; and
- they have taken all the steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Going Concern

The directors have considered the financial position of the Company at 31 December 2024 (net current assets £808m, net assets of £2,842m); the trading arrangements of the Company within the Ford group; and the projected cash flows and financial performance of the Ford group within Europe and globally for the 12 months from the date of approval of these financial statements. The directors also have taken action to ensure that appropriate cash resources are available to fund the Company's operations. Therefore the directors consider, after making appropriate enquiries, that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason they continue to adopt the going concern basis in preparing the financial statements.

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

DIRECTORS' REPORT (continued)

Independent auditors

PricewaterhouseCoopers LLP have expressed a willingness to remain as independent auditors of the Company.

On behalf of the Board

Andrew Duckers

A. Duckers
Director
25 September 2025

Registered office:
Arterial Road
Laindon
Essex, SS15 6EE

Independent auditors' report to the members of Ford Motor Company Limited

Report on the audit of the financial statements

Opinion

In our opinion, Ford Motor Company Limited's financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 101 "Reduced Disclosure Framework", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report and Financial Statements (the "Annual Report"), which comprise: the Statement of Financial Position as at 31 December 2024; the Income Statement, the Statement of Comprehensive Income and the Statement of Changes in Equity for the year then ended; and the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, as applicable to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

To the best of our knowledge and belief, we declare that non-audit services prohibited by the FRC's Ethical Standard were not provided.

We have provided no non-audit services to the company in the period under audit.

Conclusions relating to going concern

Our evaluation of the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included:

- Reviewing management's assessment of the going concern risks faced by the business;
- Understanding the nature of the business and its arrangements with other group entities;
- Considering the financing and liquidity of the company, including the covenants related to debt and the ability of the company to achieve such covenants; and

- Considering the wider automotive market, external economic and social factors which may have a bearing on the assessment.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and Directors' Report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' Report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and Directors' Report for the year ended 31 December 2024 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and Directors' Report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Statement of directors' responsibilities in respect of the financial statements, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the company and industry, we identified that the principal risks of non-compliance with laws and regulations related to the Companies Act 2006 and UK tax legislation, and we considered the extent to which non-compliance might have a material effect on the financial statements. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to the posting of inappropriate journal entries to manipulate financial results and management bias in accounting estimates. Audit procedures performed by the engagement team included:

- Held discussions with management, including consideration of known or suspected instances of non-compliance with laws and regulations and/or fraud;
- Evaluated the design effectiveness of management's control activities designed to prevent and detect irregularities of management's controls to prevent and detect irregularities;
- Reviewed meeting minutes of the board of directors for consideration of known or suspected instances of non-compliance with laws and regulations and/or fraud;
- Challenged assumptions and judgements made by management in determining their significant accounting estimates and material judgements, in particular in relation to the valuation of the warranty and product recalls provision, estimation of the useful lives of property, plant and equipment and the valuation of the defined benefit pension obligation;
- Evaluated whether there was evidence of management bias that presented a risk of material misstatement due to fraud and assessed the rationale for significant contracts and transactions entered into;
- Identified and tested journal entries based on our risk assessment;
- Reviewed the disclosures in the Annual Report and Financial Statements against the specific legal requirements; and
- Incorporated elements of unpredictability into our audit procedures

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

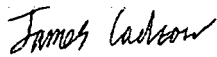
Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.



James Cadzow (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Watford
26 September 2025

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

INCOME STATEMENT
(in millions)

		For the years ended December 31,	
		2024	2023
Revenue	Note 5	£ 15,593	£ 13,318
Cost of sales and other expenses			
Cost of sales	6	(15,002)	(12,636)
Selling, administrative, and other expenses	6	(342)	(311)
Total cost of sales and other expenses	6	(15,344)	(12,947)
Dividend income		4	3
Interest expense	9	(167)	(155)
Other interest income and finance income, net	9	96	98
Profit before income tax		182	317
Income tax (expense)/benefit	10	(51)	(72)
Net profit		£ 131	£ 245

STATEMENT OF COMPREHENSIVE INCOME
(in millions)

		For the years ended December 31,	
		2024	2023
Net profit	Note	£ 131	£ 245
Other comprehensive (loss)/income, net of tax			
Items that will not be classified to profit and loss			
Remeasurement of the surplus for the net defined post-employment benefit	26	158	(600)
Tax on remeasurement of the liability for the net defined post-employment benefit	26	(43)	146
Items that may be reclassified to profit and loss			
Fair value adjustments on cash flow hedging instruments	26	(71)	13
Tax on fair value adjustments on cash flow hedging instruments	26	18	(3)
Total other comprehensive income, net of tax		62	(444)
Total comprehensive income		£ 193	£ (199)

The accompanying notes are an integral part of the financial statements

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

STATEMENT OF FINANCIAL POSITION
(in millions)

	Note	December 31, 2024	December 31, 2023
ASSETS			
Cash and cash equivalents		£ 81	£ 107
Trade and other receivables	11	3,492	3,751
Derivative financial instruments	12	14	20
Inventories	13	1,188	868
Net investment in operating leases	14	163	125
Total current assets		4,938	4,871
Intangible assets	15	72	104
Property, plant, and equipment	16	1,530	1,036
Investment property	18	16	16
Derivative financial instruments	12	—	—
Investment in subsidiaries and associates	19	966	966
Pension	20	1,620	1,388
Deferred income taxes		—	—
Trade and other receivables	11	36	1
Total non-current assets		4,240	3,511
Total assets		£ 9,178	£ 8,382
LIABILITIES			
Accounts payable	21	£ 2,015	£ 2,352
Derivative financial instruments	12	66	16
Debt	22	616	—
Deferred revenue and other liabilities	23	540	267
Provisions	24	893	713
Total current liabilities		4,130	3,348
Derivative financial instruments	12	24	—
Debt	22	736	1,324
Deferred revenue and other liabilities	23	860	505
Provisions	24	188	146
Deferred income taxes	10	397	292
Total non-current liabilities		2,205	2,267
Total liabilities		6,335	5,615
EQUITY			
Called up share capital	25	848	848
Share premium account		36	36
Retained earnings		808	684
Accumulated other comprehensive loss	26	(56)	(3)
Capital contribution reserve		1,200	1,199
Other reserves		7	3
Total equity		2,843	2,767
Total liabilities and equity		£ 9,178	£ 8,382

The accompanying notes are an integral part of the financial statements.

The financial statements on pages 47 to 91 were approved by the board of directors and were signed on its behalf by:

Lisa Brankin

L. Brankin
Chair

Andrew Duckers

A. Duckers
Director

Date: 25 September 2025

Registered number: 235446

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

STATEMENT OF CHANGES IN EQUITY
(in millions)

	Called Up Share Capital	Share Premium Account	(Accumulated losses)/ Retained Earnings	Accumulated Other Comprehensive Income/(Loss) (Note 26)	Capital Contribution Reserve	Other Reserves	Total Equity
Balance at January 1, 2023	£ 848	£ 36	£ 978	£ (13)	£ 1,198	£ (2)	£ 3,045
Comprehensive income							
Net profit	—	—	245	—	—	—	245
Other comprehensive expense, net of tax	—	—	—	(444)	—	—	(444)
Reclassifications	—	—	(454)	454	—	—	—
Total comprehensive income/(expense)	—	—	(209)	10	—	—	(199)
Transactions with shareholders							
Share-based compensation	—	—	—	—	—	5	5
Dividend payment	—	—	(85)	—	—	—	(85)
Deferred tax related to items credited directly to equity	—	—	—	—	1	—	1
Total transactions with shareholders	—	—	(85)	—	1	5	(79)
Balance at December 31, 2023	<u>£ 848</u>	<u>£ 36</u>	<u>£ 684</u>	<u>£ (3)</u>	<u>£ 1,199</u>	<u>£ 3</u>	<u>£ 2,767</u>
Balance at January 1, 2024	£ 848	£ 36	£ 684	£ (3)	£ 1,199	£ 3	£ 2,767
Comprehensive income/(expense)							
Net profit	—	—	131	—	—	—	131
Other comprehensive expense, net of tax	—	—	—	62	—	—	62
Reclassifications	—	—	115	(115)	—	—	—
Total comprehensive income/(expense)	—	—	246	(53)	—	—	193
Transactions with shareholders							
Share-based compensation	—	—	—	—	—	4	4
Dividend	—	—	(122)	—	—	—	(122)
Deferred tax related to items credited directly to equity	—	—	—	—	1	—	1
Total transactions with shareholders	—	—	(122)	—	1	4	(117)
Balance at December 31, 2024	<u>£ 848</u>	<u>£ 36</u>	<u>£ 808</u>	<u>£ (56)</u>	<u>£ 1,200</u>	<u>£ 7</u>	<u>£ 2,843</u>

The accompanying notes are an integral part of the financial statements.

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

NOTES TO THE FINANCIAL STATEMENTS

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Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

NOTE 1. BACKGROUND AND BASIS OF PREPARATION

Background

The principal activities in which the Company is engaged are the manufacture of low emission diesel engines; and the distribution and sale of motor vehicles and automotive components and associated customer after sales support.

The Company is a private company limited by shares, incorporated and domiciled in the United Kingdom. Registered office: Arterial Road, Laindon, Essex. SS15 6EE.

Going Concern

The directors have considered the financial position of the Company at 31 December 2024 (net current assets £808m, net assets of £2,842m); the trading arrangements of the Company within the Ford group; and the projected cash flows and financial performance of the Ford group within Europe and globally for the 12 months from the date of approval of these financial statements. The directors also have taken action to ensure that appropriate cash resources are available to fund the Company's operations. Therefore the directors consider, after making appropriate enquiries, that the Company has adequate resources to continue in operational existence for the foreseeable future. For this reason they continue to adopt the going concern basis in preparing the financial statements.

Basis of Preparation

Statement of Compliance

The financial statements of the Company have been prepared in accordance with Financial Reporting Standard 101, 'Reduced Disclosure Framework' (FRS 101). The financial statements have been prepared under the historical cost convention, as modified by the revaluation derivative of financial assets, pension surplus and financial liabilities measured at fair value through profit or loss, and in accordance with the Companies Act 2006.

The preparation of financial statements in conformity with FRS 101 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

The Company is itself a subsidiary company of Ford Motor Company, a company incorporated in Delaware, USA, and is exempt from the requirement to prepare group financial statements by virtue of Section 401 of the Companies Act 2006. Copies of the ultimate holding company's financial statements can be obtained from the address outlined in Note 33.

The principal accounting policies applied in the preparation of the financial statements of the Company are set out in Note 2. These policies have been applied consistently to all years presented, unless otherwise stated.

Presentation

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates ('the functional currency'). The financial statements are presented in 'Pounds Sterling' (£), which is also the Company's functional currency. All financial information has been rounded to the nearest million, except where otherwise indicated.

The statement of financial position differentiates between current and non-current assets and liabilities. Assets and liabilities are classified as current if they mature within one year.

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

NOTE 1. BACKGROUND AND BASIS OF PREPARATION (*continued*)

Basis of Preparation (*continued*)

FRS 101

The following exemptions from the requirements of IFRS have been applied in the preparation of these financial statements, in accordance with FRS 101:

- Paragraphs 45(b) and 46 to 52 of IFRS 2, 'Share-based payment' (details of the number and weighted-average exercise prices of share options, and how the fair value of goods or services received was determined).
- IFRS 7, 'Financial Instruments: Disclosures'.
- Paragraphs 91 to 99 of IFRS 13, 'Fair value measurement' (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities).
- Paragraph 38 of IAS 1, 'Presentation of financial statements' comparative information requirements in respect of:
 - paragraph 79(a)(iv) of IAS 1;
 - (ii) paragraph 73(e) of IAS 16 Property, plant and equipment;
 - (iii) paragraph 118(e) of IAS 38 Intangible assets (reconciliations between the carrying amount at the beginning and end of the period).
- The following paragraphs of IAS 1, 'Presentation of financial statements':
 - 10(d), (statement of cash flows),
 - 16 (statement of compliance with all IFRS),
 - 38A (requirement for minimum of two primary statements, including cash flow statements),
 - 38B-D (additional comparative information),
 - 111 (cash flow statement information), and
 - 134-136 (capital management disclosures).
- IAS 7, 'Statement of cash flows'.
- Paragraph 30 and 31 of IAS 8 'Accounting policies, changes in accounting estimates and errors' (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective).
- Paragraph 17 and 18A of IAS 24, 'Related party disclosures' (key management compensation).
- The requirements in IAS 24, 'Related party disclosures' to disclose related party transactions entered into between two or more members of a group.

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES

Revenue Recognition

Revenue is generated primarily by sales of vehicles, parts and accessories. Revenue is recorded when obligations under the terms of a contract with our customer are satisfied; generally, this occurs with the transfer of control of our vehicles, parts or accessories. Revenue is measured as the amount of consideration we expect to receive in exchange for transferring goods. When we give our dealers the right to return eligible parts for credit, we reduce the related revenue for expected returns.

Sales and Marketing Incentives

Sales and marketing incentives generally are recognised as revenue reductions in *Revenues*. The incentives generally take the form of cash payments to dealers and dealers' customers. The reduction to revenue is accrued at the later of the date the related vehicle is sold or the date the incentive program is both approved and communicated. We generally estimate these accruals using incentive programs that are approved as of 31 December 2024 which is the date of the statement of financial position and are expected to be effective at the beginning of the subsequent period.

Supplier Price Adjustments

We frequently negotiate price adjustments with our suppliers through a production cycle, even after receiving production materials. These price adjustments relate to changes in design specification or other commercial terms such as economics, productivity, and competitive pricing. We recognised price adjustments when we reach a final agreement with our suppliers. In general, we avoid direct price changes in consideration of future business; however, when these occur, our policy is to defer the financial statement impact of any such price change given explicitly in consideration of future business where guaranteed volumes are specified.

Foreign Currency Translation

Income statement transactions in foreign currency are translated into pounds sterling at rates ruling on the date of the transaction. Monetary assets and liabilities denominated in foreign currency are translated at the rates ruling at the year end date. The effect of this remeasurement process, and the results of our foreign currency hedging activities are reported in *Cost of sales and Selling, administrative, and other expenses*.

Trade and Other Payables

Trade payables are obligations to pay for goods and services. Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Trade Receivables

Trade and other receivables consists primarily of receivables from contracts with our customers for the sale of vehicles, parts, and accessories. Trade receivables initially are recorded at the transaction amount and are typically outstanding for less than 30 days. Each reporting period, we evaluate the collectability of the receivables and record an allowance for expected credit losses representing our estimate of the expected losses that result from all possible default events over the expected life of a receivable. Expected credit loss rates are applied to receivables that are grouped based on their number of days past due (ageing buckets) to calculate the overall allowance. Default occurs when a receivable is 90 days or more past due. The allowance for expected credit losses is measured using a provision matrix method (simplified approach) based on the number of days a receivable is past due. A receivable is written-off when it is deemed uncollectible and all collection efforts have been exhausted. Additions to the allowance for expected credit losses are made by recording charges to expected credit losses expense reported in *Selling, administrative, and other expenses*.

Ford's exposure to credit risk arising from trade receivables is influenced primarily by the default risk of customer base and the risk associated with the industry and the country in which the customers operate. Our credit policy requires that credit limits be established for each external customer before the first shipment is released. The process of establishing or reaffirming credit limits considers the financial conditions and creditworthiness of the customer based on information such as current and historical financial statements, credit agency reports, and trade references. The credit limits are monitored and reviewed at least annually. Sales exceeding the limits are placed on hold if necessary to limit risk.

The carrying amount of trade receivables represents the maximum credit exposure. Ford may require a mortgage collateral from certain dealers for vehicle sales. In a few markets, we may require bank guarantees for direct sales or service parts for certain trade receivables. Ford does not have trade receivables and contract assets for which no loss allowance is recognized because of collateral.

Income Taxes

Income tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that it relates to a business combination, items recognised directly in equity, or items recognised in other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised for temporary differences that exist between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss; and
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future;

Ford Motor Company Limited
Annual Report and Financial Statements
for the year ended 31 December 2024

NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Income Taxes (continued)

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses, tax credits, and deductible temporary differences, to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

In determining the amount of current and deferred tax the Company takes into account the impact of uncertain tax positions and whether additional taxes, penalties and late-payment interest may be due. The Company believes that its accruals for tax liabilities are adequate for all open tax years based on its assessment of many factors, including interpretations of tax law and prior experience. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Company to change its judgement regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact the tax expense in the period that such a determination is made.

The company has adopted 'International Tax Reform - Pillar Two Model Rules - Amendments to IAS 12' for the first time in 2023.

Presentation of Sales and Sales-Related Taxes

We collect and remit taxes assessed by different governmental authorities that are both imposed on and concurrent with a revenue-producing transaction between us and our customers. These taxes may include, but are not limited to, sales, value-added, and some excise taxes. We report the collection of these taxes on a net basis (excluded from revenues).

Cash and Cash Equivalents

Included in *Cash and cash equivalents* are highly liquid investments that are readily convertible to known amounts of cash

Derivative Financial Instruments and Hedge Accounting

In the normal course of business, our operations are exposed to global market risks, including the effect of changes in foreign currency exchange rates, certain commodity prices, and interest rates. To manage these risks, we enter into highly effective derivative contracts:

- Foreign currency exchange contracts, including forwards, that are used to manage foreign exchange exposure;
- Commodity contracts, including forwards, that are used to manage commodity price risk;
- Interest rate contracts, including swaps, that are used to manage the effects of interest rate fluctuations; and
- Cross-currency interest rate swap contracts that are used to manage foreign currency and interest rate exposures on foreign-denominated debt.

Ford Motor Company Limited
Annual Report and Financial Statements
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NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (*continued*)

Derivative Financial Instruments and Hedge Accounting (*continued*)

Our derivatives are over-the-counter customized derivative transactions and are not exchange-traded. We review our hedging program, derivative positions, and overall risk management strategy on a regular basis.

Derivative Financial Instruments and Hedge Accounting. Derivatives are recorded on the statement of financial position at fair value and presented on a gross basis. Derivative assets and liabilities are reported in *Derivative financial instruments*.

We have elected to apply hedge accounting to certain derivatives. Derivatives that are designated in hedging relationships are evaluated for effectiveness using regression analysis at the time they are designated and throughout the hedge period. The ratio of the quantity of the hedged item and the notional amount of the hedge is always 1 for 1. Some derivatives do not qualify for hedge accounting; for others, we elect not to apply hedge accounting.

Cash Flow Hedges. Our Automotive segment has designated certain forward contracts as cash flow hedges of forecasted transactions with exposure to foreign currency exchange and commodity price risks.

The effective portion of changes in the fair value of cash flow hedges is deferred in *Accumulated other comprehensive income/(loss)* and is recognized in *Cost of sales* when the hedged item affects earnings. The ineffective portion is reported in *Cost of sales* in the period of measurement. Our policy is to de-designate foreign currency exchange cash flow hedges prior to the time forecasted transactions are recognized as assets or liabilities on the statement of financial position and report subsequent changes in fair value through *Cost of sales*. If it becomes probable that the originally-forecasted transaction will not occur, the related amount included in *Accumulated other comprehensive income/(loss)* is reclassified and recognized in earnings.

Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is determined by methods approximating the first-in first-out ("FIFO") principle, and includes expenditures incurred in acquiring the inventories, production or conversion costs, and other costs incurred in bringing them to their existing location and condition. In the case of finished products and work in progress, cost includes an appropriate share of production overhead based on normal operating capacity.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

Raw Material Arrangements

We may, at times, negotiate prices for and facilitate the purchase of raw materials on behalf of our suppliers. These raw material arrangements, which take place independently of any purchase orders issued to our suppliers, are negotiated at arms' length and do not involve volume guarantees. When we pass the risks and rewards of ownership to our suppliers, including inventory risk, market price risk, and credit risk for the raw material, we record both the cost of the raw material and the income from the subsequent sale to the supplier in cost of sales.

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NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Intangible Assets

Quotas for carbon emissions are capitalised as intangible assets, these are not amortised and are utilised when surrendered to settle carbon emission liabilities. Quotas are initially recognised at fair value and subsequently revalued at each year with the gain or loss being booked to *Selling, administrative, and other expenses* in the income statement.

Costs incurred to develop non-production related software (whether the software is developed internally or by a third party vendor) are capitalised on the basis of the costs incurred to acquire and / or bring them to use.

Non-production related software is amortised primarily using the straight-line method over the estimated useful life of the software. Useful lives range from 3 years for software and 8 years for mainframe and client based software.

Property, Plant, and Equipment

Property, plant, and equipment are recorded at cost, net of accumulated depreciation and impairments. We capitalise new assets when we expect to use the asset for more than one year. Routine maintenance and repair costs are expensed when incurred.

We recognise the gain or loss on disposal of an item of property, plant, and equipment within cost of sales in our income statement.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of the property, plant, and equipment, taking into consideration our best estimate of its residual value. We record and depreciate separately each major component of a single asset when the components have significantly different useful lives. We generally depreciate leased assets over the shorter of the lease term and their useful lives.

Property, plant and equipment are depreciated primarily using the straight-line method over the estimated useful life of the asset. Useful lives range from 3 years to 36 years. The estimated useful lives generally are 14.5 years for machinery and equipment, 30 years for land improvements, and 36 years for buildings. Tooling generally is amortised over the expected life of a product program using a straight-line method. Land is not depreciated as it is treated as having an infinite life and construction in progress is not depreciated until asset comes into use.

Lease Commitments

Leases are recognised as a right-of-use asset and a corresponding liability at the date in which the leased asset is available for use. The right-of-use assets and lease liabilities are reported in Property, plant, and equipment and Other Financial Liabilities, respectively, on our statement of financial position.

Investment Properties

Investment properties are accounted for in accordance with IAS 40 where the cost model is followed. Useful economic lives are 30 years for land improvements, and 36 years for buildings.

Investments are impaired only if there is objective evidence of impairment as a result of one or more events that occurred

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NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (continued)

Government Incentives

Government grants that relate to specific capital expenditure are credited to deferred income when received and are credited to the income statement over the related useful economic life of the assets acquired with the grant. The portion of government grants which have not been credited to the income statement are included within deferred revenue and other liabilities. Other government grants are credited to the income statement when received

Pension/Employee Benefits

We provide short-term and long-term benefits to our employees. Short-term employee benefit obligations generally take on the form of salaries and bonuses and are measured on an undiscounted basis. We generally expense short-term benefits in the period the related benefit is provided. Long-term employee benefit obligations generally take on the form of defined benefit pension obligations.

Defined benefit pension obligations are measured based on the present value of projected future benefit payments for all participants for services rendered to-date. The measurement of projected future benefits is dependent on the provisions of each specific plan, demographics of the group covered by the plan, and other key measurement assumptions. For plans that provide benefits dependent on salary assumptions, we include a projection of salary growth in our measurements. No assumption is made regarding any potential changes to benefit provisions beyond those to which we are presently committed (e.g., in existing labour contracts).

The net periodic benefit costs associated with the Company's defined benefit pension plans are determined using assumptions regarding the benefit obligation and the plan assets (where applicable) as of the beginning of each year. Net periodic benefit costs are recorded in Cost of sales and Selling, administrative, and other expenses. The expected return on pension scheme assets, net of interest costs on pension liabilities are included within Other interest income and finance income, net. The funded status of the benefit plans, which represents the difference between the benefit obligation and fair value of plan assets, is calculated on a plan-by-plan basis. The benefit obligation and related funded status are determined using assumptions as of the end of each year. The impact of plan amendments and actuarial gains and losses are recorded in *Accumulated other comprehensive income/(loss)*, and then reclassified to retained earnings at the end of the year.

Curtailment gains or losses are recorded when an event occurs that significantly reduces the number of employees covered by the plan. We record a curtailment gain when the employees who are entitled to the benefits terminate their employment; we record a curtailment loss when it becomes probable a loss will occur.

Ford shall recognise a settlement gain or loss in the period in which a transaction that permits derecognition of the net defined benefit liability. The gain or loss on a settlement shall comprise: (a) the present value of the obligation being settled, as determined on the date of the settlement; and (b) the settlement price, including any assets transferred and/or payments made.

Ford shall remeasure the plan as of the date of the action if there is a significant curtailment or settlement.

Our policy for funded pension plans is to contribute annually, at a minimum, amounts required by applicable laws and regulations. We may make contributions beyond those legally required.

When the benefits of a plan are improved, the portion of the increased benefit relating to past service by employees is recognised in profit or loss immediately. To the extent that the benefits vest immediately, the expense is recognised immediately in profit or loss.

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NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (*continued*)

Pension/Employee Benefits (*continued*)

Termination and similar benefits are recognised as an expense when management is committed demonstrably, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense when we have made an offer and the employee accepts the offer, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

Provisions

A *provision* is recognised if, as a result of a past event, we have a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. We record provisions for warranty, dealer and customer claims, environmental remediation, legal and similar matters.

Due to the inherent uncertainty of the amount and timing of expected payments, we measure our provisions using patterned estimation models that take into consideration historical experience with similar matters, recent facts and circumstances, as well as assumptions about current trends. Each measurement reflects our best assumptions at each reporting period but the ultimate outcome of any matter could result in an amount different than the amount we have accrued and/or disclosed.

Provisions expected to be paid in a period of greater than one year are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as interest expense in *Other interest income and finance income, net*.

Warranties

We accrue obligations for warranty costs and field service actions (i.e. safety recalls, emission recalls, and other product campaigns) at the time of sale. We establish estimates for warranty and field service action obligations using a patterned estimation model using historical information regarding the nature, frequency, and average cost of claims for each vehicle line by model year. We re-evaluate the adequacy of our accruals on a regular basis and any revisions to our estimated obligation for warranties and field service actions are reported as *Changes in accrual related to pre-existing warranties*.

Environmental Remediation

We accrue for costs related to legal obligations to perform certain activities in connection with the retirement, abandonment, or disposal of our assets for which the fair value can be reasonably estimated. These conditional asset retirement obligations relate to the estimated costs for asbestos abatement and the removal of other regulated building materials.

Dealer and Customer Claims

We accrue for dealer and customer claims related to incentive programs that are approved as of the reporting date and are expected to be effective at the beginning of the subsequent period.

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NOTE 2. SUMMARY OF MATERIAL ACCOUNTING POLICIES (*continued*)

Investments in Subsidiaries and Associated Undertakings

Investments in subsidiaries and associated undertakings are stated at cost less provisions for impairment. An impairment loss is recognised following the identification of an impairment indicator if the recoverable amount of an investment is lower than its carrying amount.

Debt

Debt is initially recognised at fair value, net of any transaction costs incurred. Debt is subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in the income statement over the term of the debt using the effective interest method. Transaction costs incurred are amortised over the term of the debt.

Litigation and Claims

Litigation and claims are accrued when losses are deemed probable and reasonably estimable. In evaluating matters for accrual and disclosure purposes, we take into consideration factors such as our historical experience with matters of a similar nature, the specific facts and circumstances asserted, the likelihood of our prevailing, and the severity of any potential loss. We re-evaluate and update our provisions and accruals as matters progress over time.

Share-Based Payments

Share-based payment arrangements include awards that will be settled by the delivery of shares and awards that will be settled by the delivery of cash. Awards that will be settled by the delivery of shares are measured at fair value on the grant date. Awards that will be settled in cash are recognised as a liability and are measured at fair value at the end of each reporting period and at settlement. The fair value of the awards that employees are expected to earn is recognised as compensation cost over the vesting period. Changes in the number of awards that employees are expected to earn are recognised in profit or loss over the vesting period.

We measure the fair value of stock options using an option-pricing model and the fair value of restricted stock units using the closing market price of our Common Stock of the ultimate holding Company on the grant date.

NOTE 3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements in conformity with FRS 101 requires management to make judgments, estimates, and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, and expenses. Actual results may differ from those estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

We consider an accounting estimate to be significant if: 1) the accounting estimate requires us to make assumptions about matters that were highly uncertain at the time the accounting estimate was made, and 2) changes in the estimate that are reasonably likely to occur from period to period, or use of different estimates that we reasonably could have used in the current period, would have a material impact on our financial condition or results of operations.

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NOTE 3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS (*continued*)

There are other items within our financial statements that require estimation, but are not deemed critical as defined above. Changes in estimates used in these and other items could have a material impact on our financial statements.

Warranty and Product Recalls

Nature of Estimates Required. We create a provision for the estimated cost of basic warranty coverage for each vehicle at the time of sale. We establish estimates using historical information regarding the nature, frequency, and average cost of claims for each vehicle line by model year. Where little or no claims experience exists, we rely on historical averages. See Note 24 for information regarding costs for warranty actions. Separately, we also accrue at the time of sale for potential product recalls based on historical experience. Product recalls are distinguishable from warranty coverage in that the actions may extend beyond basic warranty coverage periods.

Assumptions and Approach Used. We re-evaluate our estimate of warranty obligations on a regular basis. Experience has shown that initial data for any given model year may be volatile; therefore, our process relies on long-term historical averages until sufficient data are available. As actual experience becomes available, we use the data to modify the historical averages in order to ensure that the estimate is within the range of likely outcomes. We then compare the resulting accruals with present spending rates to ensure that the balances are adequate to meet expected future obligations. Based on these data, we revise our estimates as necessary. Due to the uncertainty and potential volatility of these factors, changes in our assumptions could materially affect our financial condition and results of operations.

Pensions

Nature of Estimates Required. The estimation of our defined benefit pension plan obligations and expenses requires that we make use of estimates of the present value of projected future payments to all participants, taking into consideration the likelihood of potential future events such as demographic experience. Plan obligations and expenses are based on existing retirement plan provisions. No assumption is made regarding any potential future changes to benefit provisions beyond those to which we are presently committed (e.g., in existing labour contracts).

Assumptions and Approach Used. The assumptions used in developing the required estimates include the following key factors:

- *Discount rates.* Our discount rate assumption is based primarily on the results of a cash flow matching analysis, which matches the future cash outflows for each major plan to a yield curve based on high-quality bonds specific to the country of the plan. Benefit payments are discounted at the rates on the curve and a single discount rate specific to the plan is determined.
- *Salary growth.* Our salary growth assumption reflects our long-term actual experience, outlook, and assumed inflation.
- *Inflation.* Our inflation assumption is based on an evaluation of external market indicators, including real gross domestic product growth and central bank inflation targets.
- *Expected contributions.* Our expected amount and timing of contributions is based on an assessment of minimum requirements, cash availability, and other considerations (e.g., funded status, avoidance of regulatory premiums and levies, and tax efficiency).
- *Retirement rates.* Retirement rates are developed to reflect actual and projected plan experience.
- *Mortality rates.* Mortality rates are developed to reflect actual and projected plan experience.

Assumptions are set at each year end and are generally not changed unless there is a major plan event such as a significant curtailment or settlement that would trigger a plan remeasurement.

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NOTE 3. CRITICAL ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS (*continued*)

The effects of actual results differing from our assumptions and the effects of changing assumptions are recognised in *Accumulated other comprehensive income/(loss)* on our statement of financial position.

See Note 20 for more information regarding pension costs and assumptions.

The 31 December 2024 pension defined benefit obligation and 2025 expense are affected by year-end 2024 assumptions. These sensitivities may be asymmetric and are specific to the time periods noted. The effects of changes in the factors which generally have the largest impact on year-end funded status and pension expense are discussed below.

Increase/(Decrease)			
Assumption	Percentage Point Change	Pension Surplus at 31 December 2024 £m	2025 Expense £m
Discount rate	+0.5 pt.	(388)	(36.9)
	- 0.5 pt.	445	39.6
Actual Return on assets during 2024	+0.5 pt.	(47)	(2.4)
	- 0.5 pt.	47	2.4
Rate of increase in salaries	+0.5 pt.	79	9.2
	- 0.5 pt.	(76)	(7.4)
Inflation	+0.5 pt.	302	24.6
	- 0.5 pt.	(287)	(21.9)

The foregoing indicates that changes in the discount rate and inflation can have a significant effect on the funded status of our pension plans, shareholders' funds and expense. We cannot predict these changes in discount rates or inflation and, therefore, cannot reasonably estimate whether adjustments to our shareholders' equity in subsequent years will be significant.

Useful Lives of Property, Plant and Equipment and Intangible Assets

Nature of Estimates Required. The estimation of the useful lives of items of property, plant and equipment and intangible assets is a matter of judgment based on the experience with similar assets. The future economic benefits embodied in the assets are consumed principally through use. However, other factors, such as technical or commercial obsolescence and wear and tear, often result in the diminution of the economic benefits embodied in the assets.

Assumptions and Approach Used. Management assesses the remaining useful lives in accordance with the current technical conditions of the assets and estimated period during which the assets are expected to earn benefits for the Company. The following primary factors are considered: (a) expected usage of the assets; (b) expected physical wear and tear, which depends on operational factors and maintenance program; and (c) technical or commercial obsolescence arising from changes in market conditions.

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NOTE 4. NEW STANDARDS AND INTERPRETATIONS

Adoption of New Accounting Standards

We adopted the following amendments during 2024, which did not have a material impact on our financial statements or financial statement disclosures:

Amendments	Effective Date
Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	January 1, 2024
Non-current liabilities with Covenants (Amendments to IAS 1 and IFRS Practice Statement 2)	January 1, 2024
New disclosure requirements for supplier finance arrangements (Amendments to IAS 7 & IFRS 7)	January 1, 2024

Accounting Standards Issued But Not Yet Adopted

The following represent the standards and amendments that are applicable to Ford. None of them are expected to have a material impact to our financial statements or financial statement disclosures, excepting for IFRS 18, which its effects are under review:

Amendments	Effective Date
Lack of Exchangeability (Amendments to IAS 21)	January 1, 2025
Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)	January 1, 2026
IFRS 18 Presentation and Disclosure in Financial Statements	January 1, 2027

NOTE 5. REVENUE

Amounts included in *Revenue* on our income statement were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Sales of new vehicles, parts and accessories	£ 15,311	£ 13,085
Sales of vehicles previously leased under operating leases	178	151
Vehicle operating lease revenue	14	10
Other	90	72
Total revenue	£ 15,593	£ 13,318

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NOTE 5. REVENUE (continued)

Total Company *Revenue* split geographically for the years ended December 31 were as follows (in millions):

	For the years ended December 31,			
	2024		2023	
United Kingdom	£	6,435	£	5,865
Germany		1,753		1,379
Spain		532		521
France		872		1,104
Italy		1,042		866
Other EU		3,021		2,367
Other Europe (non-EU as at 31 December)		1,155		1,145
Rest of World		783		71
Total revenue	£	15,593	£	13,318

Revenue is recognised when obligations under the terms of a contract with our customer are satisfied; generally this occurs with the transfer of control of our vehicles, parts, accessories, or services. Revenue is measured as the amount of consideration we expect to receive in exchange for transferring goods or providing services. The transaction price is allocated to each performance obligation based on the relative standalone selling price at contract inception for each performance obligation. Sales, value add, and other taxes we collect concurrent with revenue-producing activities are excluded from revenue. The expected costs associated with our base warranties and field service actions continue to be recognised as expense when the products are sold (see Note 24). We recognize revenue for vehicle service contracts that extend mechanical and maintenance coverages beyond our base warranties over the life of the contract. We do not have any material significant payment terms as payment is received at or shortly after the point of sale.

Depending on the terms of the arrangement, we may also defer the recognition of a portion of the consideration received because we have to satisfy a future obligation in relation to extended service contracts. We use an observable price to determine the stand-alone selling price for separate performance obligations or a cost plus margin approach when one is not available.

We sell vehicles to daily rental companies and guarantee that we will pay them the difference between an agreed amount and the value they are able to realise upon resale. At the time of transfer of vehicles to the daily rental companies, we record the probable amount we will pay under the guarantee to Other liabilities and deferred revenue.

Vehicles, Parts, and Accessories. For the majority of vehicles, parts, and accessories, we transfer control and recognize a sale when we ship the product from our manufacturing facility to our customer (dealers and distributors). We receive cash equal to the invoice price for most vehicle sales at the time of wholesale. When the vehicle sale is financed by Ford Credit Europe, the dealer pays Ford Credit Europe when it sells the vehicle to the retail customer. Payment terms on part sales to dealers, distributors, and retailers range from 30 to 120 days. The amount of consideration we receive and revenue we recognize varies with changes in marketing incentives and returns we offer to our customers and their customers. When we give our dealers the right to return eligible parts and accessories, we estimate the expected returns based on an analysis of historical experience. We adjust our estimate of revenue at the earlier of when the most likely amount of consideration we expect to receive changes or when the consideration becomes fixed.

Used Vehicles. We sell used vehicles both at auction and/or through our dealers. Proceeds from the sale of these vehicles are recognised in revenues upon transfer of control of the vehicle to the customer and the related vehicle carrying value is recognized in Cost of sales.

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NOTE 5. REVENUE (continued)

Extended Service Contracts. We sell separately-priced service contracts that extend mechanical and maintenance coverages beyond our base warranty agreements to vehicle owners. The separately priced service contracts range from 12 to 120 months. We receive payment at the inception of the contract and recognize revenue over the term of the agreement in proportion to the costs expected to be incurred in satisfying the obligations under the contract. At January 1, 2024, £63 million of unearned revenue associated with outstanding contracts was reported in Other Liabilities and deferred revenue, £24 million of this was recognized as revenue during the year ended December 31, 2024. At December 31, 2024, the unearned amount was £77 million. We expect to recognize approximately £30 million of the unearned amount in 2025, £20 million in 2026, and £28 million thereafter.

Other Revenue. Other revenue consists primarily of net commissions received for serving as the agent in facilitating the sale of a third party's products or services to our customers. We transfer control and recognize the net commission when the products are delivered to our customer (dealers and distributors).

Leasing Income. We sell vehicles to daily rental companies with an obligation to repurchase the vehicles for a guaranteed amount, exercisable at the option of the customer. The transactions are accounted for as operating leases. Upon the transfer of vehicles to the daily rental companies, we record proceeds received in Other liabilities and deferred revenue. The difference between the proceeds received and the guaranteed repurchase amount is recorded in revenues over the term of the lease using a straight-line method. The cost of the vehicle is recorded in Net investment in operating leases on our statement of financial position and the difference between the cost of the vehicle and the estimated auction value is depreciated in Cost of sales over the term of the lease.

NOTE 6. TOTAL COST OF SALES AND SELLING, ADMINISTRATIVE AND OTHER EXPENSES

Amounts included in *Cost of sales and Selling, administrative, and other expenses* on our income statement were as follows (in millions):

	For the years ended December 31,			
	2024		2023	
Manufacturing materials, labour and overhead	£	1,227	£	1,222
Purchase of new vehicles, parts and accessories		12,915		10,803
Depreciation and amortisation		177		130
Warranty		146		123
Advertising		133		120
Other		746		549
Total cost of sales and selling, administrative, and other expenses	£	15,344	£	12,947

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NOTE 7. PROFIT

Profit is arrived at after charging (in millions):

	For the years ended December 31,	
	2024	2023
Total depreciation on property, plant and equipment and investment property		
Land, land improvements, and buildings	£ 11	£ 8
Machinery, equipment and other	126	82
Special tooling	35	35
Loss on disposal of property, plant and equipment	10	2
Inventory recognised as an expense	12,207	10,721
Operating lease rentals	—	—

Auditors' remuneration for the statutory audit of the Company's annual financial statements was £643,360 (2023: £573,800). Remuneration for provision of other services was split as follows; tax advisory was nil (2023: nil) and other non-audit related services was nil (2023: £3,200)

NOTE 8. NET FOREIGN CURRENCY EXCHANGE LOSSES/(GAINS)

Net foreign currency exchange losses/(gains) recognised on our income statement were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Cost of sales	£ 99	£ (2)
Net foreign currency exchange losses/(gains)	£ 99	£ (2)

NOTE 9. INTEREST EXPENSE AND OTHER INTEREST INCOME AND FINANCE INCOME, NET

Amounts included in *Interest expense* and *Other interest income and finance income, net* on our income statement were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Interest expense - debt	£ 123	£ 115
Interest expense - group undertakings	19	27
Interest expense - other	25	13
	167	155
Interest income - group undertakings	91	86
Interest income - other	5	12
	£ 96	£ 98

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NOTE 10. INCOME TAXES

The *Income tax expense/(benefit)* on our income statement was estimated as follows (in millions):

For the years ended December 31,	
2024	2023
Current	
<u>UK corporation tax</u>	
Current tax expense / (benefit) on profits for the year	£ — £ —
Change in estimates related to prior years	23 —
Restitution interest tax - accrual for reimbursement to affiliate	— (10)
<u>Group relief</u>	
Current year expense / (benefit)	(52) (43)
Change in estimates related to prior years	— —
<u>Foreign Tax</u>	
Current and prior years	— —
Total current tax expense benefit	(29) (53)
<u>Deferred</u>	
Current year temporary differences	102 128
Changes in estimates related to prior years	(22) (3)
Impact of rate change	— —
Total deferred tax expense	80 125
Income tax expense / (benefit) reported in income statement	£ 51 £ 72

Tax expense for the year is higher (2023: lower) than the standard rate of corporation tax in the UK for the year ended 31 December 2024 of 25% (2023: 23.5%). The differences are explained below (in millions):

For the years ended December 31,	
2024	2023
£ 182	£ 317
Profit on ordinary activities before income taxes	
46	74
Tax calculated at UK rate of corporation tax of 25.00% (2023: 23.50%)	
<u>Tax effects of:</u>	
Expenses / income not taxable / (deductible) for tax purposes	4 2
Tax rate differential	— 8
Impact of rate change on deferred tax	— —
Change in estimate related to prior years	23 1
Prior year adjustments to deferred Tax	(22) (3)
Restitution tax provision	— (10)
Income tax expense	£ 51 £ 72
Effective tax rate	27.8 % 22.7 %

The deferred tax amounts shown on the statement of financial position at December 31 were as follows (in millions):

2024	2023
£ 48	£ 72
(445)	(364)
£ (397)	£ (292)
Deferred tax assets	
Deferred tax liabilities	
Net deferred tax liabilities	

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NOTE 10. INCOME TAXES (continued)

Deferred taxes by major category at December 31 were as follows (in millions):

	2024	2023
Deferred tax assets		
Decelerated capital allowances	£ —	£ 66
Provisions	5	6
Revaluation of cash flow hedges	19	—
Losses available for offset against future income	24	—
Total deferred tax assets	<u>48</u>	<u>72</u>
Deferred tax liabilities		
Retirement surplus	(403)	(343)
Decelerated capital allowances	(21)	—
Plant, property and equipment	(3)	(3)
Chargeable gains rolled over	(18)	(18)
Total deferred tax liabilities	<u>(445)</u>	<u>(364)</u>
Net deferred tax (liabilities) / assets	<u>£ (397)</u>	<u>£ (292)</u>

There are unremitted earnings of £591.4m (2023: £511.3m) relating to the Company's direct subsidiaries. No deferred tax has been provided on this amount as distributions to the Company would be exempt from UK taxation. Disposals of the subsidiaries would also be exempt from UK taxation under the Substantial Shareholdings Exemption.

No deferred tax asset has been provided on connected party capital losses of £170.2m (2023: £170.2m) on the basis that it is not probable that these will be utilised in the future.

At December 31, 2024, Ford Motor Company Limited had pre-tax operating loss carry-forwards for income tax purposes in the amount of £108m (2023: £nil).

The current and non-current portions of deferred income taxes expected to be recovered or settled within and after one year at December 31 were as follows (in millions):

	2024	2023
Deferred tax assets		
Current portion	£ 13	£ 21
Non-current portion	35	51
Total deferred tax asset	<u>48</u>	<u>72</u>
Deferred tax liabilities		
Current portion	(37)	17
Non-current portion	(408)	(381)
Total deferred tax liabilities	<u>(445)</u>	<u>(364)</u>
Net deferred tax asset	<u>£ (397)</u>	<u>£ (292)</u>

The company offsets tax assets and liabilities if and only if it has a legally enforceable right to set off current tax assets and liabilities and the deferred tax assets and liabilities relate to income taxes levied by the same tax authority.

The company is within the scope of the OECD Pillar Two rules. Pillar Two legislation has been enacted to implement a domestic top-up tax in the UK for accounting periods commencing on or after 31 December 2023.

In accordance with UK tax legislation, companies are liable to pay a top-up tax from 2024 onwards for the difference between their GloBE effective tax rate in the UK and the minimum 15% rate. However, an assessment of the company's position for 2024, when combined with other UK companies in the wider Ford group, shows that together those UK companies meet the Safe Harbour tests for within the legislation. As a result, no UK top-up taxes are required for the year ended 31 December 2024.

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NOTE 10. INCOME TAXES (continued)

In accordance with the amendments to IAS 12 issued in May 2023, the company has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

NOTE 11. TRADE AND OTHER RECEIVABLES

Trade and other receivables are analysed as follows (in millions):

	As at December 31,	
	2024	2023
Amounts falling due within one year		
Trade receivables	£ 230	£ 91
Amounts owed by group undertakings	2,936	3,456
Amounts owed by associated undertakings	32	27
Other receivables	106	109
Prepayments and accrued income	188	68
	<u>3,492</u>	<u>3,751</u>
Amounts falling due after more than one year		
Other receivables	36	1
	<u>36</u>	<u>1</u>
Total	<u>£ 3,528</u>	<u>£ 3,752</u>

Amounts owed by group undertakings are unsecured, bear interest at a variable rate which is capitalised monthly and are repayable on demand.

NOTE 12. DERIVATIVE FINANCIAL INSTRUMENTS

Income Effect of Derivative Financial Instruments

The (losses) / gains, by hedge designation, recorded in *Cost of sales* were as follows (in millions):

	As at December 31,	
	2024	2023
Cash flow hedges		
Reclassified from AOCI to income	£ (62)	£ (49)
Derivatives not designated as hedging instruments		
Foreign currency exchange contracts	54	74
Total	<u>£ (8)</u>	<u>£ 25</u>

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NOTE 12. DERIVATIVE FINANCIAL INSTRUMENTS (continued)

Statement of Financial Position Effect of Derivative Financial Instruments

The notional amount and estimated fair value of our derivative financial instruments were as follows (in millions).

	December 31, 2024			December 31, 2023		
	Notional	Fair Value of Assets	Fair Value of Liabilities	Notional	Fair Value of Assets	Fair Value of Liabilities
Cash flow hedges						
Foreign currency exchange	£ 3,436	£ 2	£ (68)	£ 1,510	£ 4	£ (5)
Derivatives not designated as hedging instruments						
Foreign currency exchange contracts	(1,221)	12	(22)	(1,957)	16	(11)
Total derivative value, gross	<u>£ 2,215</u>	<u>14</u>	<u>(90)</u>	<u>£ (447)</u>	<u>20</u>	<u>(16)</u>
Current portion		£ 14	£ (66)		£ 20	£ (16)
Non-current portion		—	(24)		—	—
Total		<u>£ 14</u>	<u>£ (90)</u>		<u>£ 20</u>	<u>£ (16)</u>

Notional amounts are presented on a gross basis. The notional amounts of the derivative financial instruments do not represent amounts exchanged by the parties and, therefore, are not a direct measure of our exposure to the financial risks described above. We enter into master agreements with counterparties that may allow for netting of exposures in the event of default or termination of the counterparty agreement due to breach of contract.

NOTE 13. INVENTORIES

Inventories on our statement of financial position were as follows (in millions):

	As at December 31,	
	2024	2023
Raw materials and supplies	£ 184	£ 126
Work-in-process	178	191
Finished products and vehicles previously subject to operating lease	826	551
Total	<u>£ 1,188</u>	<u>£ 868</u>

The write-down of *Inventories* to net realisable value as an expense was £0.4 million and £0.2 million for the years ended December 31, 2024 and 2023, respectively.

Included in raw materials and supplies and finished products is £236.2 million (2023: £161.0 million) relating to assets which the Company is committed to buy-back although legal title has passed to a third party.

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NOTE 14. NET INVESTMENT IN OPERATING LEASES

Net investment in operating leases consists primarily of lease contracts for vehicles with employees, daily rental companies and fleet customers, with terms of 6-12 months or less. Payment extensions may be requested by the customer and are generally limited to a maximum of six months over the term of the lease. Term extensions may also be requested by the customer. Term and payment extensions in total generally do not exceed twelve months. A lease can be terminated at any time by satisfying the obligations under the lease agreement. Early termination programs may be occasionally offered to eligible lessees. At the end of the lease, the customer returns the vehicle or may have the option to buy the leased vehicle. In the case of a contract default and repossession, the customer typically remains liable for any deficiency between net auction proceeds and the defaulted contract obligations, including any repossession-related expenses.

Revenue from rental payments received on operating leases is recognized on a straight-line basis over the term of the lease. The accrual of revenue on operating leases is discontinued at the time an account is determined to be uncollectible.

Depreciation expense on vehicles subject to operating leases is recognized on a straight-line basis in an amount necessary to reduce the leased vehicle value to its estimated residual value at the end of the lease term. Our policy is to promptly sell returned off-lease vehicles. We evaluate our depreciation for leased vehicles on a regular basis taking into consideration various assumptions, such as expected residual values at lease termination and the estimated number of vehicles that will be returned to us. Adjustments to depreciation expense reflecting revised estimates of expected residual values at the end of the lease terms are recorded prospectively on a straight-line basis. Upon disposition of the vehicle, the difference between net book value and actual proceeds is recorded as an adjustment to Depreciation on vehicles subject to operating leases.

Accumulated depreciation reduces the value of the vehicles from their initial production value to their expected residual value at the end of the lease, with the associated depreciation expense recognized on a straight-line basis over the term of the lease. At the time of purchase, we establish the expected residual value for the vehicle based on recent auction values, return volumes for our leased vehicles, industry-wide used vehicle prices, marketing incentive plans, and vehicle quality data. We monitor residual values each month and review the accuracy of our accumulated depreciation on a quarterly basis.

Net investment in operating leases at December 31 was as follows (in millions):

	2024	2023
Vehicles	£ 163	£ 125

Operating leases are generally pre-payable without penalty and may cause actual paid amounts due to differ from amounts contractually due.

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NOTE 15. INTANGIBLE ASSETS

Changes in *Intangible assets* balances on our statement of financial position were as follows (in millions):

	For the year ended		
	December 31, 2024		
	Quotas	Software	Total
Cost			
Beginning balance 1 January 2024	£ 77	£ 75	£ 152
Additions	—	15	£ 15
Disposals	—	(5)	(5)
Reclasification non-current to current	(42)	—	(42)
Ending balance 31 December 2024	35	85	120
Accumulated amortisation and impairment			
Beginning balance 1 January 2024	—	(48)	(48)
Amortisation	—	(5)	(5)
Disposals	—	5	5
Ending balance 31 December 2024	—	(48)	(48)
Net Book Value 31 December 2024	£ 35	£ 37	£ 72
Net Book Value 31 December 2023	£ 77	£ 27	£ 104

NOTE 16. PROPERTY, PLANT, AND EQUIPMENT

Changes in *property, plant and equipment* balances on our statement of financial position were as follows (in millions):

	For the year ended December 31, 2024				
	Land, Land Improvements, and Buildings	Machinery, Equipment, and Other	Special Tooling	Construction in Progress	Total
Cost					
Beginning balance 1 January 2024	£ 341	£ 1,230	£ 369	£ 7	£ 1,947
Additions	1	610	35	20	666
Disposals	(10)	(20)	(15)	—	(45)
Ending balance 31 December 2024	332	1,820	389	27	2,568
Accumulated depreciation and impairment					
Beginning balance 1 January 2024	(149)	(565)	(197)	—	(911)
Depreciation	(11)	(126)	(35)	—	(172)
Disposals	10	20	15	—	45
Ending balance 31 December 2024	(150)	(671)	(217)	—	(1,038)
Net Book Value 31 December 2024	£ 182	£ 1,149	£ 172	£ 27	£ 1,530
Net Book Value 31 December 2023	£ 192	£ 665	£ 172	£ 7	£ 1,036

The net book value of land, land improvements and buildings comprises freehold £163m (2023: £167m. £41m (2023: £41m) relates to land which is not depreciated.

The net book value of land, land improvements and buildings includes £19m (2023: £25m) for right of use assets.

The net book value of machinery, equipment and other includes £919m (2023 £415m) for right of use assets.

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NOTE 17. LEASE COMMITMENTS

We lease land, offices, distribution centres and equipment under agreements with contractual periods ranging from less than one year to 10 years. Many of our leases contain one or more options to extend. We include options that we are reasonably certain to exercise in our evaluation of the lease term after considering all relevant economic and financial factors. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.

For the majority of our leases commencing after January 1, 2019, we do not separate the non-lease components (e.g., maintenance and operating services) from the lease components to which they relate. Instead, non-lease components are included in the measurement of the lease liabilities.

The Company is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

We calculate the initial lease liability as the present value of fixed payments not yet paid and variable payments that are based on a market rate or an index (e.g. CPI), measured at commencement. The majority of our leases are discounted using our incremental borrowing rate because the rate implicit in the lease is not readily determinable. All other variable payments are expensed as incurred.

Lease right-of-use assets at December 31 2024 were as follows (in millions):

	For the year ended December 31, 2024		
	Land, Land improvements, and Buildings	Machinery, Equipment, and Other	Total
Cost			
As at 1 January 2024	£ 34	£ 468	£ 502
Additions	(3)	594	591
Disposals	(1)	(13)	(14)
As at 31 December 2024	30	1,049	1,079
Accumulated depreciation			
As at 1 January 2024	(9)	(53)	(62)
Additions	(3)	(90)	(93)
Disposals	1	13	14
As at 31 December 2024	(11)	(130)	(141)
Net Carrying Amount	£ 19	£ 919	£ 938

The components of lease expense were as follows (in millions):

	2024	2023
Depreciation		
Land and buildings	£ 3	£ 3
Machinery, equipment, and other	90	46
Total depreciation	93	49
Other Expenses		
Interest expense	26	13
Total lease expense	£ 119	£ 62

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NOTE 18. INVESTMENT PROPERTY

Changes in *Investment Property* balances on our statement of financial position were as follows (in millions):

	Land, Land Improvements, and Buildings
Cost	
Beginning balance 1 January 2024	£ 31
Disposals	—
Ending balance 31 December 2024	31
Accumulated depreciation and impairment	
Beginning balance 1 January 2024	(15)
Depreciation	—
Disposals	
Ending balance 31 December 2024	(15)
Net Book Value 31 December 2024	£ 16
Net Book Value 31 December 2023	£ 16

Included within freehold investment property above is £9.2m (2023: £9.2m) relating to land which is not depreciated.

NOTE 19. INVESTMENT IN SUBSIDIARIES AND ASSOCIATES

Investment in subsidiaries and associates on our statement of financial position was as follows (in millions):

	For the year ended December 31, 2024		
	Group undertakings shares	Associated undertakings	Total
Cost			
1 January 2024	£ 957	£ 11	£ 968
Additions	—	—	—
31 December 2024	957	11	968
Provisions			
1 January and 31 December 2024	—	(2)	(2)
Net Book Value 31 December 2024	£ 957	£ 9	£ 966
Net Book Value 31 December 2023	£ 957	£ 9	£ 966

The directors are satisfied the recoverable amount of investments exceeds their carrying amount and therefore all investments are fully recoverable. The subsidiaries have sufficient net assets to support their net book value and there are no known impairment indicators.

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NOTE 19. INVESTMENT IN SUBSIDIARIES AND ASSOCIATES (continued)

Subsidiaries

Organisation	Jurisdiction	Ownership %	Principle Activity
Henry Ford and Son Limited	Ireland (a)	100%	Vehicle and parts sales
Henry Ford and Son (Finance) Unlimited Company	Ireland (a)	100%	Dormant
Ford Retail Group Limited	England (b)	100%	Vehicle servicing and repair
Ford Retail Limited	England (b)	100%	Vehicle and parts sales
Standard Leasing Limited	England (b)	100%	Dormant
Ford International Liquidity Management Limited	England (c)	100%	Treasury operations
Ford Hourly Escrow Trustee Limited	England (c)	100%	Dormant
Ford Pension Fund Investment Management Limited	England (c)	100%	Dormant
Ford Pension Fund Trustees Limited	England (c)	100%	Dormant
Ford Pension Scheme for Senior Staff Trustees Limited	England (c)	100%	Dormant
Ford Halewood Transmissions Limited	England (c)	100%	The manufacture of vehicle transmissions
Ford Salaried Pension Fund Trustees Limited	England (c)	100%	Dormant
Ford Senior Staff Escrow Trustee Limited	England (c)	100%	Dormant
Wheels Common Investment Fund Trustees Limited	England (c)	100%	Dormant

Associated undertakings are the Centre for Engineering and Manufacturing Excellence (CEME), a charitable trust training college (d) and Thames Freeport Limited, a joint venture vehicle set up to support the delivery of Thames Freeport and create a new global gateway for trade (e).

Registered Offices

- (a) Elm Court, Boreenmanna Road, Cork, T12 HHW2
- (b) 2 Charter Court Newcomen Way, Colchester Business Park, Colchester, Essex, CO4 9YA
- (c) Arterial Road, Laindon, Essex, SS15 6EE
- (d) CEME Campus, Marsh Way, Rainham, Essex, RM13 8EU
- (e) Leslie Ford House, Tilbury, Essex, RM18 7EH

NOTE 20. PENSION

The Company operates several defined benefit pension plans, primarily the Ford Hourly Paid Contributory Pension Fund and Ford Salaried Contributory Pension Fund. These plans expose the Company to various risks, and their governance structures are detailed below.

The pension arrangements provide employees with defined benefits related to pay and service as set out in the rules of each fund. The main funds are the "Hourly Paid Contributory Pension Fund", the "Salaried Contributory Pension Fund", the "Pension Scheme for Senior Staff" and the "Existing" and "Retail" sections of the Cosworth Racing Limited Pension Fund. These are all consolidated and disclosed together as the "Funded Plans". There is an additional plan called the "Company unapproved arrangement (UURBs)" which is unfunded and disclosed separately as the "Unfunded Plans".

Contributions to the funds by the Company take into consideration the results of actuarial valuations carried out by the independent scheme actuary. The assets of the funds are invested and are held separately from those of the Company.

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NOTE 20. PENSION (continued)

The valuation used for FRS 101 disclosures has been based on a full assessment of the liabilities of the funds by an independent qualified actuary using the latest full membership data at the following effective dates:

- Hourly Paid Fund: 31 March 2024
- Salaried Fund: 31 March 2024
- Senior Staff Scheme: 31 March 2024
- UURBs arrangement: consistent with the data used for the Fund in which they joined from
- Cosworth Racing Limited Pension Fund: 31 March 2021

The Fund duration is an indicator of the weighted-average time until benefit payments are made. For the Hourly Fund as a whole, the duration is around 10.8 years, and for the Salaried Fund the duration is around 12.8 years. This reflects the approximate split of the defined benefit obligation between current employees, deferred members and current pensioners.

The funds show a net surplus before deferred tax of (in millions):

	As at December 31,	
	2024	2023
Funded Plans	£ 1,775	£ 1,589
Unfunded Plans	(155)	(201)
Net Pension Surplus	<u>£ 1,620</u>	<u>£ 1,388</u>

The Company intends to ensure its pension schemes are adequately funded over time.

Assumptions

The assumptions used to determine expense and benefit obligations were as follows:

	For the years ended December 31,	
	2024	2023
Rate of increase in salaries	3.55 %	3.45 %
Rate of increase to pensions in payment attracting LPI (Max 5%)	2.60 %	2.50 %
Inflation assumption (see below) CPI	2.65 %	2.55 %
Inflation assumption (see below) RPI	3.05 %	2.95 %
<u>Discount rate</u>		
-Hourly paid	5.4 %	4.5 %
-Salaried	5.5 %	4.5 %
-Senior Staff	5.5 %	4.5 %
-Cosworth	5.5 %	4.5 %
-Retail	5.5 %	4.5 %
Expected average age at death for a member aged 65	85.5	85.5
Expected average age at death for a member aged 45	86.5	86.4

At 31 December 2024, there were 4,022 current employee members, 37,253 retirees and 13,155 deferred members. The weighted average duration of these obligations is 11.5 years.

In addition to guaranteed increases, pension in payment increases are made at the Company's discretion. The cost of any future discretionary increases will be recognised at the time of the increase and the cost of funding these increases is borne wholly by the Company.

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NOTE 20. PENSION (continued)

Pension Plan Contributions

The contributions agreed and paid in 2024, and those forecast to be paid in 2025 by the Company are as follows:

	Hourly Paid Fund	Salaried Fund	Senior Staff Scheme	Cosworth Section	Retail Section	Unfunded Unregistered Retirement Benefit Scheme
1 Jan 2024 - 31 Dec 2024	Total contributions of approx £27.9m	Total contributions of approx £74.1m	Total contributions of approx £3.2m	Total contributions of £4.9m	Total contributions of £1.3m	Total benefit payments of approx £8.5m
1 Jan 2025 - 31 Dec 2025	Total contributions of approx £6.0m	Total contributions of approx £10.0m	Total contributions of approx £0.2m	Total contributions of £4.2m	Total contributions of £—m	Total benefit payments of approx £6.2m

Contributions related to benefit augmentations would be in addition to the above amounts.

A number of FCE employees who are based in the United Kingdom participate in the Salaried Contributory Pension Fund and the Pension Scheme for Senior Staff. As there is no contractual agreement or stated policy for charging the net defined benefit cost for the plan to FCE, the contributions received from FCE are recognised as a pension cost credit within operating profit and all of the assets and liabilities of the funds are recognised by the Company.

Amounts received from FCE amounted to £3.8m (2023: £10.5m) for regular pension contributions.

Funded Plans

Benefit Plans - Expense and Status

The net expense/(income) for our defined benefit pension for the years ended December 31, were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Expense/(income)		
Current service cost	£ 83	£ 83
Interest income, net	(71)	(98)
Past service cost	32	12
Curtailment / Settlement cost	—	—
Net expense/(income)	£ 44	£ (3)

Investment management expenses of £15m (2023: £16m) have been paid directly by the Company and have been recognised in *other comprehensive income* as remeasurement of the liability for the net defined post-employment benefit.

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NOTE 20. PENSION (continued)

The year-end status of these plans was as follows (in millions):

	As at December 31,	
	2024	2023
Change in benefit obligation		
Benefit obligation at January 1	£ 8,486	£ 8,167
Current service cost	83	83
Interest expense	376	389
Past service cost (including separations)	32	12
Benefits paid	(517)	(470)
(Gain)/Loss from remeasurement	(1,022)	302
Curtailment / Settlement cost	—	—
Plan participant contributions (including NIARRs)	2	3
Other (UURBS transfer)	20	—
Benefit obligation at December 31	7,460	8,486
Change in plan assets		
Fair value of plan assets at January 1	10,082	10,186
Interest income	448	487
Loss from remeasurement	(884)	(261)
Company contributions	111	137
Plan participant contributions (including NIARRs)	3	3
Benefits paid	(517)	(470)
Fair value of plan assets at December 31	9,243	10,082
Total	£ 1,783	£ 1,596

Reconciliation of funded status to Statement of Financial Position (in millions):

	As at December 31,	
	2024	2023
Fair value of fund assets	£ 9,243	£ 10,082
Present value of defined benefit obligations	7,460	8,486
Surplus	1,783	1,596
Surplus not recognised	(8)	(7)
Net pension asset	£ 1,775	£ 1,589

The Cosworth Pension Fund has a surplus that is not recognised, on the basis that future economic benefits are not available to the entity in the form of a reduction in the future contributions or a cash refund. In accordance with the requirements of IFRIC 14, we have recognised a minimum funding commitment associated with that plan.

The return on the plan assets was (in millions):

	For the years ended December 31,	
	2024	2023
Interest income	£ 447	£ 487
Remeasurements	(884)	(261)
Total return on plan assets	£ (437)	£ 226

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NOTE 20. PENSION (continued)

Analysis of amounts recognised in the Statement of Comprehensive Income (in millions):

	For the years ended December 31,	
	2024	2023
Total actuarial gain/(loss)	£ 138	£ (563)
Surplus not recognised	—	(1)
Total gain/(loss) in Statement of Comprehensive Income	£ 138	£ (564)

Pension Plan Assets

The fair value of our defined benefit pension plan assets by asset category at December 31 was as follows (in millions):

Asset Category	As at December 31,					
	2024			2023 Restated		
	Quoted	Not Quoted	Total	Quoted	Not Quoted	Total
Equities	£ 215	£ 215	£ 215	£ 106	£ 106	£ 106
Bonds	7,984	144	8,128	9,542	306	9,848
Absolute return strategies		474	474		508	508
Private equity		191	191		229	229
Real estate		203	203		200	200
Delegated growth funds		16	16		13	13
Insurance contract		280	280		317	317
Other assets (including cash) (a)	(9)	(256)	(265)	19	(1,158)	(1,139)
Total assets at fair value	£ 8,190	£ 1,052	£ 9,242	£ 9,667	£ 415	£ 10,082

(a) Includes Trustee Cash, Investment Cash, Derivatives and Cash Equivalents

Unfunded Plans**Benefit Plans - Expense and Status**

The net expense for our defined benefit pension for the years ended December 31, were as follows (in millions):

Expense	For the years ended December 31,	
	2024	2023
Current service cost	£ 7	£ 7
Interest expense, net	9	9
Past service cost	1	2
Curtailment/Settlement cost	—	—
Net expense	£ 17	£ 18

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NOTE 20. PENSION (continued)

The year-end status of these plans was as follows (in millions):

	For the years ended December 31,	
	2024	2023
Change in benefit obligation		
Benefit obligation at January 1	£ 201	£ 168
Current service cost	7	7
Interest expense	9	9
(Gain)/loss from remeasurement	(35)	20
Past service cost (including separations)	1	2
Benefits paid	(8)	(5)
Curtailment/Settlement cost	—	—
Other (UURBS transfer)	(20)	—
Benefit obligation at December 31	155	201
Change in plan assets		
Fair value of plan assets at January 1	—	—
Company contributions	8	5
Benefits paid	(8)	(5)
Fair value of plan assets at December 31	—	—
Net Pension Liability	£ (155)	£ (201)

Analysis of amounts recognised in the Statement of Comprehensive Income (in millions):

	For the years ended December 31,	
	2024	2023
Total actuarial gain/(loss)	£ 35	£ (20)
Total gain/(loss) in Statement of Comprehensive Income	£ 35	£ (20)

Governance of the Plans

The Company's defined benefit pension plans are governed by independent trustee boards established under trust deeds governing each plan.

For the Ford Hourly Paid Contributory Pension Fund and the Ford Salaried Contributory Pension Fund ("the Schemes") governance is primarily the responsibility of the **Ford Pension Fund Trustees Limited**, and the **Ford Salaried Pension Fund Trustees Limited** respectively (the "UK Trustees"), which are legally separate entities from Ford Motor Company Ltd. The UK Trustees are responsible for the overall management and administration of the UK Schemes, acting solely in the interests of their members and beneficiaries. Their key responsibilities include:

- **Setting and reviewing investment strategy:** The UK Trustees are responsible for establishing and regularly reviewing each Scheme's Statement of Investment Principles and overseeing the investment strategy and performance of each Scheme's assets.
- **Funding and contributions:** The UK Trustees regularly assess the financial health of the Schemes and, in consultation with the Company, agree on appropriate contribution schedules to ensure the long-term solvency of the Schemes. Formal actuarial valuations are performed periodically to determine funding levels.
- **Benefit Administration:** Ensuring that benefits are paid correctly and on time, and that each Scheme's rules and relevant pension legislation are adhered to.
- **Legal compliance:** Ensuring compliance with all relevant UK pension legislation and regulatory requirements.
- **Appointment of advisors:** Appointing and monitoring professional advisors, including actuaries, legal counsel and auditors

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NOTE 20. PENSION (continued)

Risks to Which the Plans Expose the Entity

The Company's defined benefit pension plans expose it to some risks, which could lead to volatility in the Company's reported financial position, pension expense, and required cash contributions. The primary risks include:

Asset Volatility Risk: Results can change dramatically depending on market conditions. The Defined Benefit Obligation (DBO) is linked to yields on AA-rated corporate bonds, however not all the assets are invested in AA-rated corporate bonds. Changing markets in conjunction with discount rate volatility will lead to volatility in the funded status of the pension Schemes and thus to volatility in the net pension asset on the company's balance sheet and in other comprehensive income (OCI). This will also lead to volatility in the pension expense in the company's income statement.

Interest Rate Risk: A decrease in corporate bond yields will increase the value placed on the scheme's DBO for accounting purposes, although there will be offsetting effects in the value of the fixed income asset portfolio.

Inflation Risk: For benefits linked to inflation, higher-than-expected inflation would increase future benefit payments and the DBO for the Schemes.

Longevity Risk: The risk that plan participants live longer than assumed, increasing the total value of future benefit payments across the Schemes.

Concentrations of Risk: While the investment strategy of the Schemes focuses on diversification, certain concentrations of risk may exist depending on the asset allocation. For instance, if a significant portion of assets were concentrated in a particular asset class, such as equities or bonds, or geographic region, the Schemes and consequently, Ford Motor Company Limited could be exposed to market-specific downturns in those areas. The Company regularly monitors these risks and works with the Trustees and professional advisors to manage them within the established risk framework and investment policy.

Legal Claims

The Company acknowledges the High Court ruling in Virgin Media Ltd v NTL Pension Trustees II Ltd & Ors, which was upheld on appeal. It is further acknowledged that on the 5th June 2025 the Government announced it would introduce legislation to give any affected pension schemes the ability to retrospectively obtain written actuarial confirmation that historic benefit changes met the necessary standards.

Whilst the Trustees had initiated investigations, undertaken by legal counsel to assess the potential impact, these investigations have been paused in light of the recent Government announcement. At this time, the Company cannot quantify the potential financial impact, if any, of the Virgin Media judgment on the Company's defined benefit schemes.

NOTE 21. ACCOUNTS PAYABLE

Accounts payable is analysed as follows (in millions):

	As at December 31,	
	2024	2023
Trade payables	£ 586	£ 597
Amounts owed to group undertakings	654	1,279
Amounts owed to associated undertakings	669	428
Corporation tax	2	—
Taxation and social security	104	48
Total	<u>£ 2,015</u>	<u>£ 2,352</u>

Amounts owed to group and associated undertakings are unsecured, bear interest at a variable rate which is capitalised monthly and are repayable on demand.

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NOTE 22. DEBT

Debt on our statement of financial position was as follows (in millions):

	As at December 31	
	2024	2023
Due less than one year:		
Bank loans	616	—
Total	£ 616	£ —
Due greater than one year but less than five years:		
Bank loans	736	1,324
Total	£ 736	£ 1,324
Current portion	616	—
Non current portion	736	1,324
Total	£ 1,352	£ 1,324

Bank loans relate to the amount drawn under a £1,375m (2023: £1,375m) loan facility from a syndicate of commercial banks with support from a £1,100m (2023: £1,100m) guarantee from UK Export Finance (UKEF).

Bank loans are unsecured and fully repayable on 30 June 2025 (£625m) and 30 June 2027 (£750m). The Company incurred transaction costs of £9.1m in 2024 and £9.1m in 2023 obtaining the loans which are amortised over the life of the loan. The unamortised transaction costs for the year ended 31 December 2024 are £5.2m (2023: £9.0m).

NOTE 23. DEFERRED REVENUE AND OTHER LIABILITIES

Deferred revenue and other liabilities are analysed as follows (in millions):

	As at December 31,	
	2024	2023
Amounts falling due within one year		
Finance leases	£ 135	£ 56
Other creditors	1	1
Accruals and deferred income	404	210
	540	267
Amounts falling due after more than one year		
Finance leases	735	334
Other creditors	3	3
Accruals and deferred income	122	168
	860	505
Total	£ 1,400	£ 772

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NOTE 23. DEFERRED REVENUE AND OTHER LIABILITIES *(continued)*

The amounts contractually due on our lease liabilities as of December 31 were as follows (in millions):

	2024	2023
Within 1 year	135	56
After 1 year and within 2 years	133	63
After 2 years and within 3 years	131	62
After 3 years and within 4 years	93	61
After 4 years and within 5 years	79	61
After 5 years	299	87
Total	£ 870	£ 390

NOTE 24. PROVISIONS

Provisions on our statement of financial position were as follows (in millions):

	As at December 31,	
	2024	2023
Warranties	£ 295	£ 235
Dealer and customer claims	755	589
Other	31	35
Total	£ 1,081	£ 859
Current portion	893	713
Non-current portion	188	146
Total	£ 1,081	£ 859

Warranties

We accrue obligations for warranty costs and field service actions (i.e., safety recalls, emission recalls, and other product campaigns) at the time of sale. We establish estimates for warranty and field service action obligations using a patterned estimation model using historical information regarding the nature, frequency, and average cost of claims for each vehicle line by model year. We re-evaluate the adequacy of our accruals on a regular basis and any revisions to

our estimated obligation for warranties and field service actions are reported as *Changes in accrual related to pre-existing warranties* in the table below.

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NOTE 24. PROVISIONS (continued)

The changes in provisions for warranties were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Beginning balance	£ 235	£ 199
Provisions made	189	136
Changes related to pre-existing provisions	21	65
Payments made	(157)	(145)
Sweden Nsc transfer to commercial vehicles (CV)	—	—
Unrealized profit adjustment	8	(20)
Ending balance	<u>£ 296</u>	<u>£ 235</u>
Current portion	110	91
Non-current portion	186	144
Total	<u>£ 296</u>	<u>£ 235</u>

Dealer and Customer Claims

We accrue for dealer and customer claims related to incentive programs that are approved as of the reporting date and are expected to be effective at the beginning of the subsequent period.

The changes in provisions for dealer and customer claims were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Beginning balance	£ 589	£ 650
Provisions made	1,350	1,134
Payments made	(1,184)	(1,195)
Ending balance	<u>£ 755</u>	<u>£ 589</u>
Current portion	755	589
Non-current portion	—	—
Total	<u>£ 755</u>	<u>£ 589</u>

Other

Other provisions are associated with legal and restructuring actions, employee benefits and other items.

Legal actions. Various legal actions, proceedings, and claims (generally, "matters") are pending or may be instituted or asserted against us.

The extent of our financial exposure to these matters is difficult to estimate. Many matters do not specify amount for damages, and many others specify only a jurisdictional minimum. To the extent an amount is asserted, our historical experience suggests that in most instances the amount asserted is not a reliable indicator of the ultimate outcome.

Litigation and claims are accrued when losses are deemed probable and reasonably estimable. In evaluating matters for accrual and disclosure purposes, we take into consideration factors such as our historical experience with matters of a similar nature, the specific facts and circumstances asserted, the likelihood of our prevailing, and the severity of any potential loss. We re-evaluate and update our provisions accruals as matters progress over time.

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NOTE 24. PROVISIONS (continued)

As noted, the litigation process is subject to many uncertainties, and the outcome of individual litigated matters is not predictable with assurance. Our assessments are based on our knowledge and experience, but the ultimate outcome of any matter could require payment in excess of the amount that we have accrued and/or disclosed.

The changes in Other provisions were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Beginning balance	£ 35	£ 26
Additional provisions, including changes related to pre-existing provisions	30	27
Payments made	(33)	(18)
Ending balance	<u>£ 32</u>	<u>£ 35</u>
Current portion	29	34
Non-current portion	3	1
Total	<u>£ 32</u>	<u>£ 35</u>

NOTE 25. CALLED UP SHARE CAPITAL

The number of ordinary shares outstanding at December 31 were as follows (in millions):

	As at December 31,	
	2024	2023
Allotted and fully paid		
983,118,713 (2023: 983,118,713) ordinary shares of £0.86 (2023: £0.86 each)	<u>£ 848</u>	<u>£ 848</u>

All shares rank pari passu in all respects.

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NOTE 26. ACCUMULATED OTHER COMPREHENSIVE LOSS

The changes in the accumulated balances for each component of *Accumulated other comprehensive income/(loss)* attributable to Ford Motor Company Limited were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Derivative instruments		
Beginning balance	£ (3)	£ (13)
Losses on derivative instruments	(134)	(37)
Less: Tax benefit	35	10
Net loss on derivative instruments	(99)	(27)
Gains reclassified from AOCI to income	62	50
Less: Tax expense	(17)	(13)
Net gains reclassified from AOCI to net income	45	37
Other comprehensive (loss)/gain, net of tax	(54)	10
Ending balance	£ (57)	£ (3)
Pension		
Beginning balance	£ —	£ —
Gains/(losses) arising during the year	158	(600)
Less: Tax (expense)/benefit	(43)	146
Other comprehensive income, net of tax	115	(454)
Reclassification to retained earnings, net of tax	(115)	454
Ending balance	£ —	£ —
Total AOCI ending balance at December 31	£ (57)	£ (3)

NOTE 27. CONTINGENT LIABILITIES

The following table summarises the contingent liabilities which are not recorded on the statement of financial position (in millions):

	As at December 31,	
	2024	2023
Contingent liabilities	£ 18	£ 5

Litigation and Claims

Various legal actions, proceedings, and claims (generally, "matters") are pending or may be instituted or asserted against us. These include but are not limited to matters arising out of alleged defects in our products; product warranties; governmental regulations relating to safety, emissions, and fuel economy or other matters; government incentives; tax matters; alleged illegal acts resulting in fines or penalties; financial services; employment-related matters; dealer, supplier, and other contractual relationships; intellectual property rights; environmental matters; shareholder or investor matters; and other financial reporting matters. Certain of the pending legal actions are, or purport to be, class actions. Some of the matters involve claims of compensatory, punitive, or antitrust, or other treble damages in very large amounts, or demands for field service actions, environmental remediation programs, sanctions, loss of government incentives, assessments, or other relief, which, if granted, would require very large expenditures.

We accrue for matters when losses are deemed probable and reasonably estimable. In evaluation matters for accrual and disclosure purposes, we take into consideration factors such as our historical experience with matters of a

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NOTE 27. CONTINGENT LIABILITIES (continued)

similar nature, the specific facts and circumstances asserted, the likelihood that we will prevail, and the severity of any potential loss. We reevaluate and update our accruals as matters of progress over time.

For the majority of matters, which generally arise out of alleged defects in our products, we establish an accrual based on our extensive historical experience in such matters. We do not believe there is a reasonably possible outcome materially in excess of our accrual for these matters.

For the remaining matters, where our historical experience with similar matters is of more limited value (i.e., "non-pattern matters"), we evaluate the matter primarily based on the individual facts and circumstances. For non-pattern matters, we evaluate whether there is a reasonable possibility of a material loss in excess of any accrual that can be estimated. Our estimate of reasonably possible loss in excess of our accruals for all material matters currently reflects indirect tax and customs matters, for which we estimate the aggregate risk to be a range of up to £18.3 million (2023: £4.7m).

NOTE 28. CAPITAL AND OTHER COMMITMENTS

At 31 December, the Company had the following capital and other commitments (in millions):

	As at December 31,	
	2024	2023
Aggregate of capital contracts approved but not provided for	£ 193	£ 147
Other purchase commitments	37	989
Total	£ 230	£ 1,136

NOTE 29. EMPLOYEES AND DIRECTORS

Employment costs were as follows (in millions):

	For the years ended December 31,	
	2024	2023
Employment costs		
Wages and salaries	£ 671	£ 667
Social security costs	102	94
Other Pension costs	57	(5)
Total	£ 830	£ 756

Included above are £216m (2023: £216m) of employment costs that were recharged to the immediate holding company, Ford Technologies Limited for seconded employees.

Included above are nil (2023: nil) of employment costs that were recharged to Ford Smart Mobility U.K.Limited for, seconded employees.

Included above are £18m (2023: £19m) of employment costs that were recharged to the immediate subsidiary company, Ford Halewood Transmissions Limited for seconded employees.

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NOTE 29. EMPLOYEES AND DIRECTORS (continued)

The average monthly number of persons employed in the Company by geographical location was as follows:

	For the years ended December 31,	
	2024 Employees	2023 Employees
Location of employment		
South East	5,332	5,607
South Wales	6	6
Midlands	318	317
Total United Kingdom	5,656	5,930
Overseas	31	33
Total	5,687	5,963

Aggregate emoluments of the directors amounted to £1.2m (2023: £1.3m). As at 31 December 2024 retirement benefits are accruing under a defined benefit pension scheme to three directors (2023: three directors) and under a defined contribution pension scheme to two directors (2023: two directors). During the year no directors (2023: no directors) exercised share options in the ultimate holding Company and eight directors (2023: eight directors) were eligible to receive shares in the ultimate holding Company under an annual incentive programme.

The highest paid director's emoluments were £0.3m (2023: £0.3m). The highest paid director did not exercise share options during the year. The highest paid director had an accrued annual pension at the end of the year of £0.1m (2023: £0.1m) and an accrued lump sum of £nil (2023: £nil) under a defined benefit pension scheme.

The Company guaranteed directors' loans from a group undertaking of £0.3m (2023: £0.3m) in respect of cars purchased from the Company during the year, the maximum loan liability at any date being £0.2m (2023: £0.2m). Neither the Company nor the group undertaking incurred any liability through fulfilment of these guarantees. The outstanding loan balances and associated accrued interest at the end of the year was £0.3m (2023: £0.2m).

NOTE 30. SHARE-BASED PAYMENTS

The Company's ultimate holding Company issues restricted stock units ("RSUs") to our employees, which consist of time-based and performance-based awards. RSUs provide the recipients with the right to shares of our ultimate holding Company's Share Capital following a specified performance period and/or vesting period. Time-based awards generally have a vesting feature whereby one-third of each grant of RSUs vests after the first anniversary of the grant date, one-third after the second anniversary, and one-third after the third anniversary. Performance-based RSUs vest at the end of the specified performance period, generally three years, assuming required metrics are met. Performance-based RSUs have two components: one based on the ultimate holding Company's internal financial performance metrics, and the other based on ultimate holding Company's total shareholder return relative to total shareholder returns of an industrial and automotive peer group. The ultimate holding Company issue new shares of Share Capital upon vesting of RSUs. At the time of vest, RSU awards are net settled (shares are withheld to cover the employee tax obligation).

The fair value of both the time-based and the portion of the performance-based RSUs pertaining to internal performance metrics is determined using the closing price of our ultimate holding Company's Share Capital. The fair value of time-based RSUs is expensed over the shorter of the vesting period, using the graded vesting method, or the time period an employee becomes eligible to retain the award at retirement. The fair value of performance-based RSUs is expensed when it is probable and estimable as measured against the performance metrics over the shorter of the performance or required service periods. Expense is recorded in *Selling, administrative, and other expenses*.

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NOTE 30. SHARE-BASED PAYMENTS (continued)

Share-based compensation awards outstanding at December 31, 2024 consist of awards granted to employees under the 2008 Long-Term Incentive Plans ("LTIP"). Under the 2008 LTIP, the number of shares that may be granted in any year is limited to 2% of our ultimate holding Company's issued and outstanding Share Capital as of December 31 of the prior calendar year. Any unused portion is available for awards in later years. The limit may be increased up to 3% in any year, with a corresponding reduction in shares available for grants in future years.

The performance-based RSUs granted in March 2024 include a Relative Total Shareholder Return ("TSR" metric. We estimate the fair value of the TSR component of the performance-based RSUs using a Monte Carlo simulation. Inputs and assumptions used to calculate the fair value at grant date were as follows:

	<u>For the year ended December 31, 2024</u>	<u>For the year ended 31 December 2023</u>
Fair value per stock award	£ 18.50	£ 18.57
Grant date stock price	12.74	£ 13.08
Assumptions:		
Ultimate holding Company stock price expected volatility (a)	41.9 %	49.5 %
Expected average volatility of peer companies (a)	40.7 %	49.6 %
Risk-free interest rate	4.43 %	4.57 %

(a) Expected volatility based on three years of daily closing share price changes ending on the grant date.

During 2024 the number and weighted average grant date fair market price of the share awards are as follows:

	<u>For the year ended December 31, 2024</u>	<u>For the year ended 31 December 2023</u>
Number of shares	506,613	467,900
Average fair market price of shares (US\$)	\$ 12.59	\$ 13.05

Stock Options

As of December 31, 2024, there were no outstanding stock options in our ultimate holding Company, the last of which expired in March 2024.

NOTE 31. EVENTS SUBSEQUENT TO THE REPORTING DATE

There were no post balance sheet events requiring disclosure in the financial statements.

NOTE 32. CONTROLLING PARTIES

The Company's immediate parent company is Ford Technologies Limited, a company registered in England and Wales. The ultimate holding company and controlling party is Ford Motor Company, a company incorporated in the State of Delaware in the USA. At 31 December 2024, the results of the Company are only consolidated into the financial statements of Ford Motor Company. Copies of the ultimate parent company's financial statements may be obtained from: Ford Motor Company, One American Road, Dearborn, Michigan 48126, USA.

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NOTE 33. RELATED PARTIES TRANSACTIONS

The Company, acting as the European commercial vehicle entrepreneur to the UK and other European markets has contracted Ford Otosan, a Turkish joint venture company of which Ford Motor Company, USA, owns 41% of the issued share capital to assemble the Transit vehicles for export under contract. Under this contract, with the Company supplying the components to Ford Otosan for assembly, net purchases from Ford Otosan were £1,598m (2023: £2,968m), with a closing payable at 31 December 2024 to Ford Otosan of £502m (2023: £425.9m).

The Company has outsourced to Percepta UK Limited, its customer service centres. Percepta UK Limited is a UK company ultimately owned by Percepta, LLC, a US joint venture company of which Ford Motor Company, USA, owns 45% of the issued share capital. During 2024 net purchases were £21.3m (2023: £23.5m), with a closing payable at 31 December 2024 of £1.6m (2023: £0.4m).